IBRD and its Development Project Financing Activities in Vietnam

Group 6

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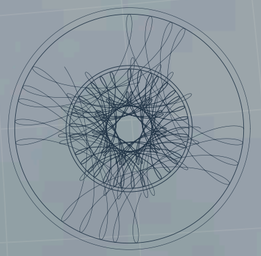

Intro

Introduction

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Findings, significance, limitations, further research

Introduction

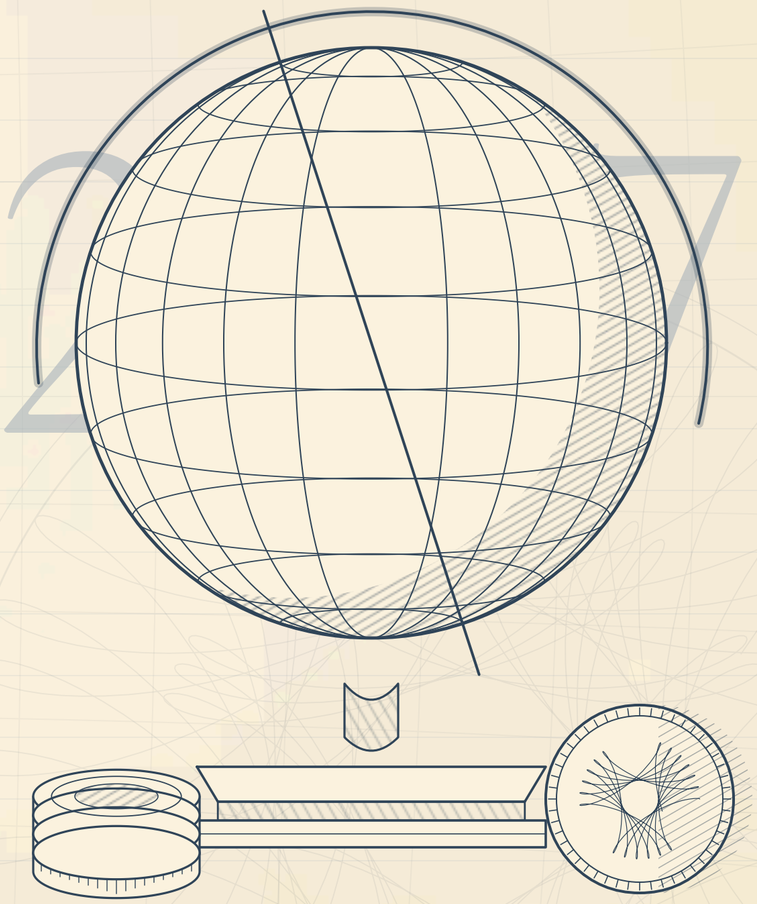
Why the IBRD matters for Vietnam after its shift from IDA lending

In this part

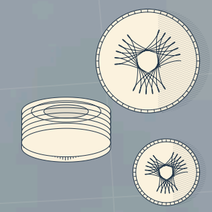
Introduction

The role of multilateral development finance

- **Funding gap:** long-term investment needs far exceed what domestic resources can provide
- **Costly markets:** international borrowing is costly, short-term, or not available at all
- **MDB advantage:** cheap funds passed on as longer maturities and lower interest rates
- **Crisis role:** MDBs expanded lending in the 2008 crisis and the COVID-19 pandemic
- **Catalytic role:** co-financing, guarantees and risk sharing attract private investors
- **Beyond finance:** appraisal, technical assistance, procurement and safeguard standards



Vietnam's shift from IDA to IBRD



2007

The Bank declares Vietnam IBRD-eligible

December 2009

First IBRD loan: US$500 million Public Investment Reform loan [1 ; 2]

July 2017

Graduates from IDA; no more regular IDA credits

From 2018

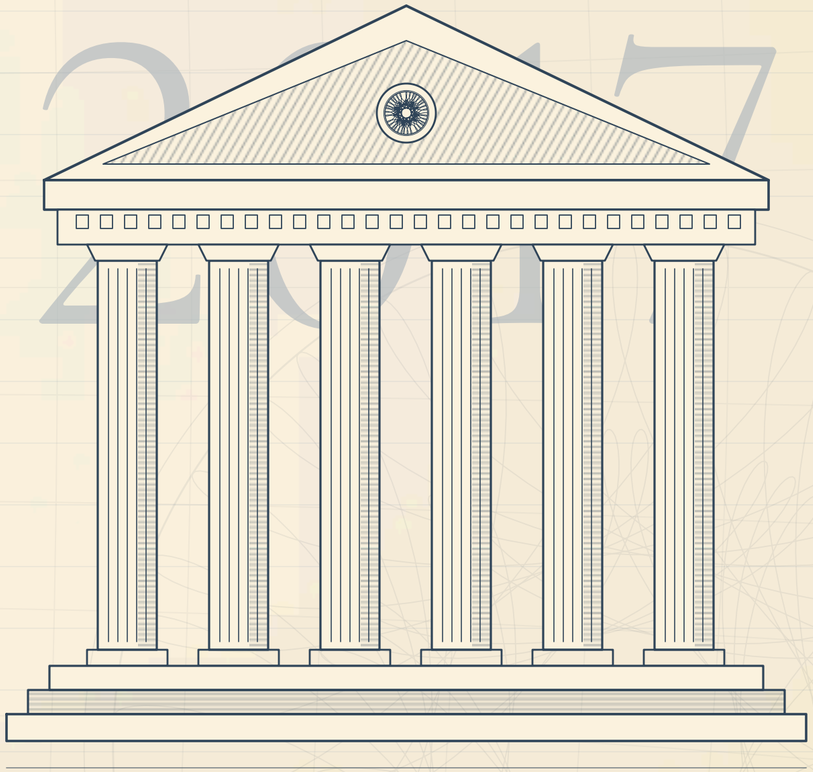
IBRD and non-concessional IDA terms; IDA18 transitional support (FY18–20) [3]

July 2026

Reclassified as an upper-middle-income economy [4]

Why the IBRD matters now

- **Main source:** the IBRD is now Vietnam's main source of World Bank financing
- **Middle path:** dearer than IDA credits, cheaper and longer-term than most commercial loans
- **Growing needs:** official financing alone will not be enough; markets cost more [3]
- **Careful choices:** higher borrowing costs mean projects must be chosen and managed carefully
- **Beyond money:** project appraisal, technical advice and international standards



Research problem and four questions

IBRD loans come with different terms and procedures from the concessional credits Vietnam was used to.

Q1

What is the IBRD, and how was it formed and developed?

Q2

How is the IBRD organized and funded, and on what terms does it lend?

Q3

How does the IBRD support project financing through financial, technical and training assistance?

Q4

What results and limitations have selected IBRD-supported projects in Vietnam shown, and what lessons follow?

Two research objectives

3.1 · Mechanisms

- **Funding:** member countries' contributions and bond issues on international markets
- **Lending:** IPF, DPF, program-for-results and guarantees, and when each applies
- **Project cycle:** responsibilities shared with the borrower; co-financiers and private investors

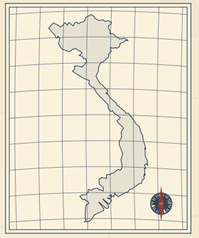
3.2 · Practice in Vietnam

- **Case:** Transmission Efficiency Project (2015–2021), described as fully financed by an IBRD loan
- **Four criteria:** relevance, effectiveness, efficiency and sustainability
- **Context only:** Binh Duong and southern waterway projects, results not yet available

Research methodology

- **Qualitative approach:** literature review with case study analysis, mainly secondary data
- **Sources:** World Bank websites and reports; Government of Vietnam and ministry documents
- **Case study:** TEP planned targets compared with actual results on the four criteria
- **Reducing bias:** World Bank data checked against IEG and Vietnamese government sources
- **Limits:** no field surveys or interviews; some data from the World Bank's own reports

Research scope



Subject

The IBRD and its project financing; IDA, IFC and MIGA only for comparison

Content

Formation, funding, instruments, project cycle; financial, technical and training support

Space

Vietnam; international examples only to explain how the IBRD works

Time

2014 to the present, with special attention to the years after 2017

I

Overview of the IBRD

Definition, history, organization, instruments and loan conditions

In this part

1.1.1 · 1.1.2 · 1.2

Definition, mission and borrowers

- **Cooperative:** a global development cooperative owned by 189 member countries [7]
- **World Bank:** one of five Group institutions; with IDA forms the World Bank [7]
- **Not profit-maximizing:** raises funds on capital markets, lends for development purposes
- **Mission:** end extreme poverty and boost shared prosperity on a livable planet; jobs central
- **Borrowers:** middle-income and creditworthy poorer countries, usually national governments
- **Eligibility:** income level and creditworthiness; Vietnam moved from IDA to IBRD after 2017

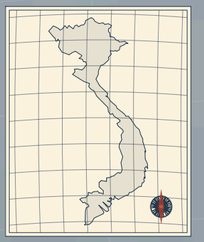
The five institutions of the World Bank Group

Table 1. The five institutions of the World Bank Group

Institution	Year founded	Main clients	Main activities	Source of funds
IBRD	1944	Governments of middle-income and creditworthy poorer countries	Loans, guarantees, risk management, advisory services	Bonds on international capital markets, member capital
IDA	1960	Governments of the poorest countries	Grants and very low-interest or interest-free loans	Contributions from donor countries
IFC	1956	Private enterprises in developing countries	Loans, equity investment, advisory services	Own capital and market borrowing
MIGA	1988	Foreign investors and lenders	Insurance against political risks such as war or expropriation	Member capital and premiums
ICSID	1966	Governments and foreign investors	Settling investment disputes through arbitration and conciliation	Contributions from the World Bank and fees

Source: Authors' compilation from [7] and [8].

How the IBRD differs



IBRD

- **Oldest and largest:** founded in 1944; the largest development bank in the world
- **Pricing:** market-based interest rates
- **Clients:** governments, or entities guaranteed by governments

IDA · IFC · MIGA · ICSID

- **IDA:** much cheaper terms, funded by donors, for the poorest countries
- **IFC:** invests in private companies without a government guarantee
- **MIGA and ICSID:** no direct finance; reduce investor risk, settle disputes

The IBRD is the main channel for public financing to middle-income countries, which is why it matters for Vietnam today.

History in four stages

1944–1950s

Bretton Woods, July 1944; first loan US$250 million to France, 1947 [9]; Marshall Plan shifts focus [8]

1950s–1970s

Power, roads, railways, irrigation; IFC 1956, IDA 1960; McNamara-era poverty focus [8]

1980s–1990s

Structural adjustment after the debt crisis; then governance, anti-corruption, safeguards

2000–present

Counter-cyclical lending in 2008 and COVID-19; 2013 twin goals; livable planet, jobs [8]

After more than 80 years: from a reconstruction bank for Europe to a global development institution; the funding model stayed the same.

Governance on three levels

- **Board of Governors:** highest body; one Governor per member; meets once a year
- **Kept powers:** admits members, changes capital, approves annual financial statements
- **Board of Executive Directors:** the President and 25 Executive Directors; meets several times a week
- **Approves:** loans, guarantees and the budget; formal votes weighted by shareholding
- **President:** chairs the Board and leads the Group; five-year renewable term
- **Today:** Ajay Banga, President since 2 June 2023 [10]

Voting power follows shares

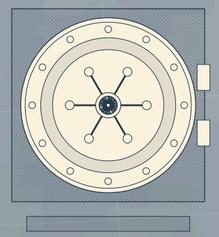
15–16%
United States share of votes

85%
majority to amend the Articles of Agreement

0.21%
Vietnam's votes, April 2026 [11]

- **Membership:** IMF membership first, then subscription to IBRD capital shares
- **One share, one vote:** equal basic votes plus one vote per share held
- **Effective veto:** the United States can block decisions needing an 85 percent majority
- **Vietnam:** votes through a constituency sharing one Executive Director

Where the money comes from



1

Member capital

Small paid-in share; callable capital never called; capital increase in 2018 [12]

2

Bond issuance

Largest source; AAA rating for decades; sustainable and green bonds [13]

3

The IBRD

Financial intermediary between global markets and member countries

4

Loans

Long maturities, reasonable costs; repayments recycled into new loans

- **Versus IDA:** IDA depends on regular donations; the IBRD funds itself through the market
- **New tools:** hybrid capital and guarantees from shareholders

Three lending instruments

A single loan product, the IBRD Flexible Loan, sets price and repayment terms.

- **IPF:** ring-fenced works, equipment, consulting; disbursed as eligible expenditures are incurred [14]
- **DPF:** policy reforms; prior actions before approval; funds to the general budget [14]
- **PforR:** introduced 2012, third instrument since 1944 [15]; disbursed on verified DLIs [14]

IPF

DPF

PforR

Under IPF, it pays for inputs; under DPF, for reforms; under PforR, for results.

SECTION 1.4.1 OF THE PAPER

- **Case studies:** TEP and CCSEP were both financed through IPF
- **First IBRD loan:** a DPF, US$500 million, approved December 2009, signed 30 December 2009 [2]

The three lending instruments compared

Table 2. The IBRD's three lending instruments

Instrument	What it finances	Disbursed against	Best suited to
Investment Project Financing (IPF)	Ring-fenced project activities: works, goods, consulting services	Eligible expenditures actually incurred	Infrastructure and other projects with a defined scope
Development Policy Financing (DPF)	A program of policy and institutional actions	Completion of agreed prior actions	Sector or economy-wide reforms; budget support
Program-for-Results (PforR)	Part of a government's own expenditure program	Verified achievement of Disbursement-Linked Indicators	Programs where results can be measured and verified

Source: Authors' compilation from Wes (2023) and Gelb et al. (2016).

Loan terms: the price

- **IBRD Flexible Loan:** leading product for public-sector borrowers in middle-income countries [16]
- **Three cost parts:** an interest rate, a front-end fee and a commitment fee [16]
- **Interest:** reference rate plus spread; SOFR replaced LIBOR for US dollar loans [17]
- **Spread:** lending spread plus maturity premium; fixed-spread option suspended in 2021 [17]
- **Commitment fee:** charged on undisbursed balances, so slow disbursement raises the cost

Loan terms: long maturities

35 years

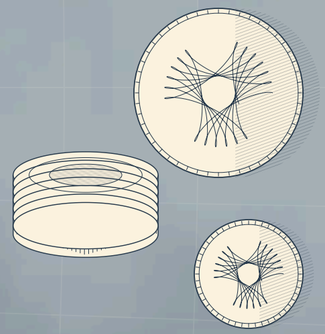
maximum final maturity since 2014, up from 30 [18]

50 years

final maturity for some projects [19]

7 years

Short Maturity Loan, October 2024 [20]



- **Average maturity:** maximum raised from 18 to 20 years in 2014 [18]
- **Short Maturity Loan:** 20-basis-point discount on the spread [20]
- **TEP:** 26-year maturity with a 10-year grace period [21]
- **CCSEP:** IBRD loan 29 years, 10-year grace; IDA credit 25 years, 5-year grace

Main terms of the IBRD Flexible Loan

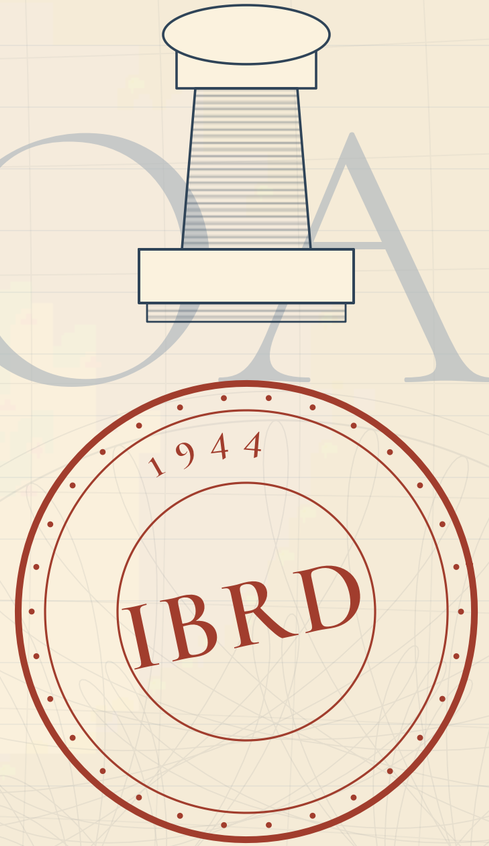
Table 3. Main terms of the IBRD Flexible Loan

Term	Current setting	Source
Interest rate	Reference rate (SOFR for USD) + variable spread	World Bank Treasury (2020)
Final maturity	Up to 35 years; up to 50 years for some projects	World Bank (2014b); IBRD (2025)
Average maturity	Up to 20 years	World Bank (2014b)
Short Maturity Loan	7-year final maturity, 20 bps spread discount	World Bank Treasury (n.d.-b)
Front-end fee	0.25% of the committed amount, charged once	World Bank Treasury (n.d.-a)
Commitment fee	0.25% a year on the undisbursed balance, from 60 days after signing	World Bank Treasury (n.d.-a)

Note: Terms are reviewed annually and may change; figures are as at October 2026.

Safeguards and procurement

- **ESF:** approved 4 August 2016; IPF projects initiated on or after 1 October 2018 [22]
- **Older policies:** earlier projects keep Safeguard Policies such as OP 4.12; about seven years in parallel [23]
- **TEP and CCSEP:** both prepared before 2018, so followed the Safeguard Policies
- **Procurement Framework:** concept note on or after 1 July 2016 [24]; PPSD prepared by CCSEP
- **Stricter rules:** gaps with domestic land rules cause delays or, in Nha Trang, lost financing



Ten Environmental and Social Standards

The ESF shifts more responsibility to the borrower, who must meet ten standards throughout the project [22].

ESS1
Assessment and Management of Environmental and Social Risks and Impacts

ESS2
Labor and Working Conditions

ESS3
Resource Efficiency and Pollution Prevention and Management

ESS4
Community Health and Safety

ESS5
Land Acquisition, Restrictions on Land Use and Involuntary Resettlement

ESS6
Biodiversity Conservation and Sustainable Management of Living Natural Resources

ESS7
Indigenous Peoples

ESS8
Cultural Heritage

ESS9
Financial Intermediaries

ESS10
Stakeholder Engagement and Information Disclosure

II

How the IBRD supports project financing

Financial support, technical support, training and capacity building

In this part

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The six-stage project cycle

The borrower owns and implements the project; the Bank advises, appraises, finances and supervises [25].

1. **Identification**
   Project concept consistent with the Country Partnership Framework
2. **Preparation**
   Feasibility, design, E&S instruments, procurement plan
3. **Appraisal**
   Bank review; Project Appraisal Document (PAD)
4. **Negotiation and Board approval**
   Loan Agreement signed and declared effective
5. **Implementation and supervision**
   Bank supervises; ISRs; may restructure
6. **Completion and evaluation**
   ICR, then independent validation by IEG

Stages of the World Bank project cycle

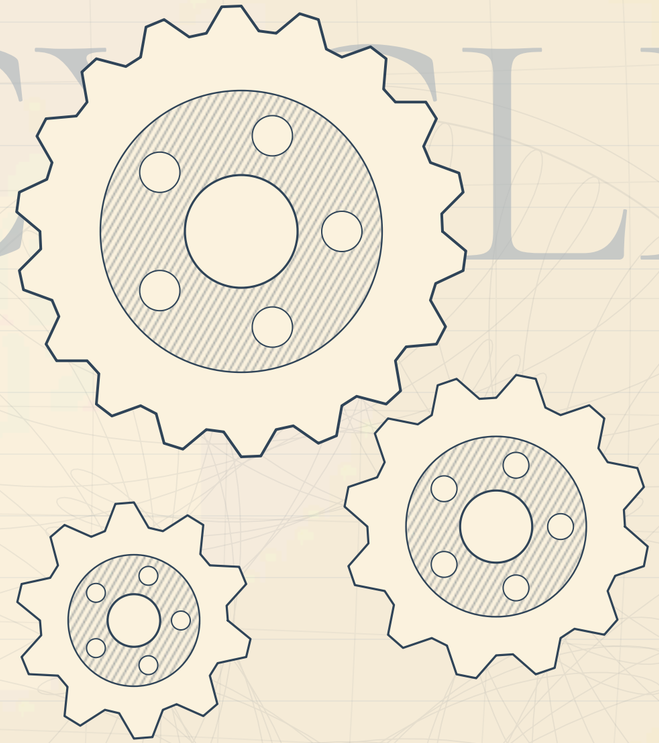
Table 4. Stages of the World Bank project cycle

Stage	Main activities	Lead role	Key document
1. Identification	Bank and government agree on a project concept consistent with the Country Partnership Framework	Borrower and Bank	Project Concept Note, Project Information Document
2. Preparation	Feasibility studies, technical design, environmental and social instruments, procurement plan	Borrower, with Bank advice	Feasibility study, ESIA, resettlement plan
3. Appraisal	Bank reviews technical, economic, financial, institutional and E&S aspects	Bank	Project Appraisal Document (PAD)
4. Negotiation and Board approval	Legal agreements negotiated; Board approves; loan signed and declared effective	Borrower and Bank	Loan Agreement
5. Implementation and supervision	Borrower carries out the project; Bank supervises and may restructure	Borrower; Bank supervises	Implementation Status and Results Report (ISR)
6. Completion and evaluation	Results assessed; lessons recorded; independent validation	Bank, then IEG	Implementation Completion and Results Report (ICR)

Source: Authors' compilation from [25].

The cycle does not end at approval

- **Restructuring:** TEP restructured in 2019 and extended by two years
- **Cancellation:** CCSEP restructured in 2022; about US$45.6 million of loan funds cancelled
- **Two systems:** proposal approval, investment decision, counterpart funds and on-lending run alongside
- **Joint delays:** CCSEP became effective about five and a half months later than planned



Four disbursement methods

Methods are set out in each project's disbursement letter [26; 27].

Table 5. IBRD disbursement methods for investment projects

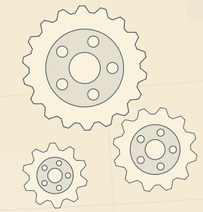
Method	How it works	Typical use
Advance	Bank deposits funds in a designated account; borrower pays eligible expenses, documents them later	Many small and recurring payments
Reimbursement	Borrower pays first from its own funds; the Bank then refunds eligible expenditures	Expenses the borrower can pre-finance
Direct payment	Bank pays a supplier, contractor or consultant directly at the borrower's request	Large contract payments
Special commitment	Bank commits to pay a third party under a letter of credit opened by a commercial bank	Imported goods and equipment

Source: Authors' compilation from [26; 27].

Counterpart funding as the binding constraint

- **Documentation:** statements of expenditure or interim financial reports; deadline usually four months after closing [26]
- **Counterpart role:** in CCSEP it paid land, resettlement, staff salaries, operating costs, training
- **TEP:** NPT provided US$231.25 million of the planned US$731.25 million [21]
- **Idle money:** CCSEP provincial allocations began July 2019; no disbursement in 2017 and 2018
- **Real debt:** where loans are on-lent, provinces take on real debt obligations

IPF and PforR in practice



IPF · builds assets

- **Structure:** components, a results framework and an implementing agency
- **TEP model:** three components via NPT boards; IBRD paid against works and equipment
- **Exposure:** land clearance or bidding delays slow the flow of funds directly

PforR · rewards results

- **DLIs:** funds released only after an agreed agency verifies each target
- **Country systems:** relies on fiduciary and environmental systems assessed beforehand
- **IEG:** the choice of DLIs is critical; monitor beyond DLIs alone [32]

For Vietnam, which has mainly used IPF, a results-based design shifts more responsibility, and more risk, onto domestic agencies.

DPF in Vietnam: from policy matrix to budget

US$500 million

PIR, first operation, December 2009 [2]

US$87.3 + 262.7 million

IBRD + IDA, second PIR, May 2011 [28]

US$200 + 111.8 million

IBRD + IDA, power-sector DPF, 2010 [31]

- **Mechanism:** prior actions, such as a decree, then the loan is released to the budget
- **PIR series:** two single-tranche operations [2]
- **Aims:** public investment cycle; legal basis for public-private partnerships [29; 30]

Technical support: preparation

- **Task team:** technical, financial, procurement and safeguard specialists advise the borrower
- **Viability check:** TEP's appraisal estimated an EIRR of 31.4%
- **E&S instruments:** CCSEP prepared an ESIA per city and one resettlement framework [33]
- **Preparation Advance:** finances costly preparation; later refinanced from the loan [27]
- **Quality matters:** better smart-grid preparation would have avoided TEP's extension

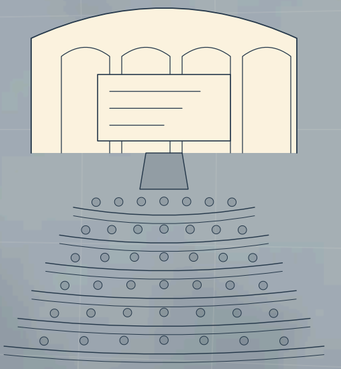
Advisory Services and Analytics

US$991 million
ASA disbursements in 2023 [35]

68%
from donor trust funds [35]

26%
from the Bank's administrative budget [35]

6%
from Reimbursable Advisory Services [35]



- **ASA:** reports, policy notes, hands-on advice and workshops [34]
- **RAS:** the client requests and pays [34]; mainly middle- and high-income countries [36]
- **Vietnam:** PIR policy dialogue [2]; PPIAF US$350,000 and GIZ support for CCSEP

Monitoring and evaluation on three levels

CCSEP's results framework: about 290,000 beneficiaries, 256,000 sewer connections, 100% cost recovery.

1

Supervision

Regular ISRs rate progress towards the PDO (World Bank, n.d.-c)

2

Completion

The ICR at closing compares results with targets

3

Independent evaluation

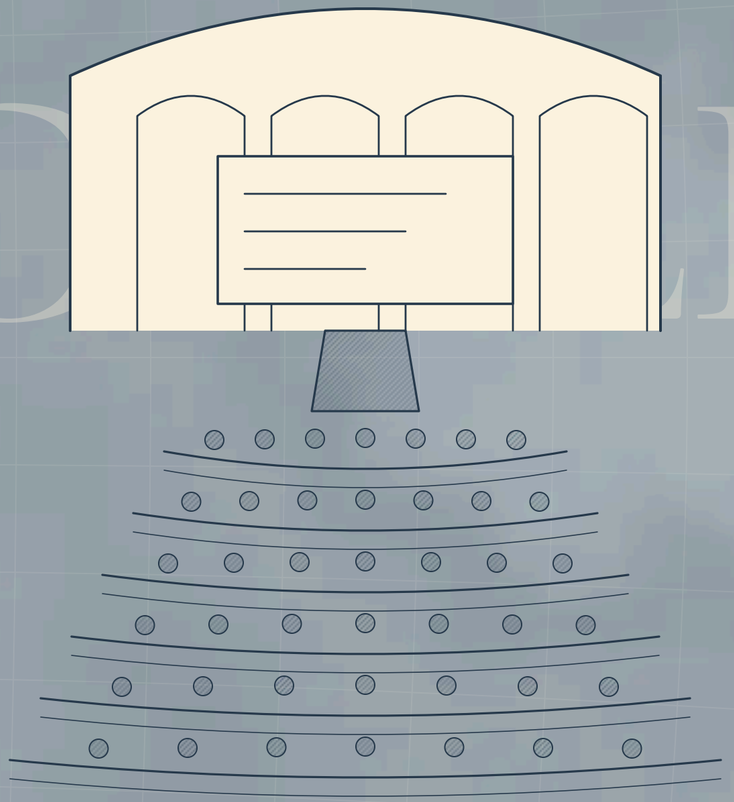
IEG validates the ICR; a PPAR for selected projects

What M&E shows, and its limits

- **TEP PPAR:** outcome highly satisfactory, Bank performance satisfactory, M&E substantial [37]
- **Early warning:** in 2022 CCSEP's PDO likelihood fell to moderately unsatisfactory
- **Attribution:** system-wide indicators such as transmission losses are not the project alone
- **No ICR:** for CCSEP, assessment must rely on interim reports

Training project management units

- **PMUs:** TEP used NPT's northern, central and southern boards; CCSEP one PMU per province
- **Training:** project and financial management, procurement and safeguards
- **Open Learning Campus:** orientation courses from Bank expectations to M&E [38]
- **Continuity:** Phan Rang's new PMU drew 10 of its 12 staff from other ODA units
- **Still weak:** PMU capacity remained a main cause of delay in CCSEP



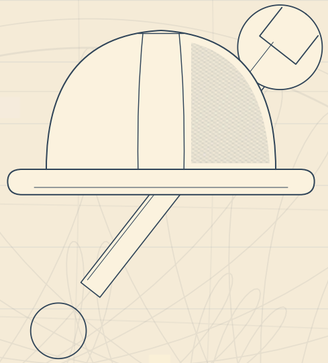
Knowledge transfer by doing

2014

world's first MOOC on public procurement [39]

540

more than 540 certified learners [39]



- **Learning by doing:** staff apply Bank rules on real contracts; specialists review key steps
- **E-procurement:** certification after passing an examination [40]
- **TEP:** NPT's boards built procurement, finance and safeguard capabilities [37]
- **Harder to transfer:** in Nha Trang, local compensation rules and land prices differed

Institutional reform in the two case studies

Table 6. Institutional reform activities in the two case studies

Project	Reform activity	Position at the latest report
TEP	Asset management system for NPT	Fully operational; used for investment and maintenance decisions
TEP	Cost-reflective transmission tariff, IFRS reporting, testing laboratory	Carried out mainly with NPT/EVN funds
CCSEP	Public Service Management Units in each city	Established
CCSEP	Wastewater tariff roadmaps, household connection policies	Approved or issued; implementation varies by city
CCSEP	Performance-based service contracts	Largely not yet in use, except at the Nha Trang treatment plant

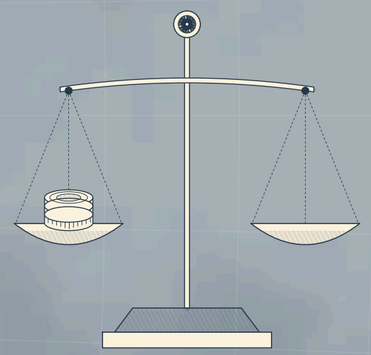
Source: Sections 3.2.3 and 3.3.3, based on World Bank (2022a, 2022b, 2022c, 2023).

Reform depends on the borrower

5.50
US$ million from NPT

5.74
US$ million: TEP capacity-building actual cost

0.24
US$ million from the IBRD



- **National level:** the PIR series strengthened selection and implementation of public investment [2]
- **CCSEP:** all of Component 4 financed by counterpart funds; many reforms stopped at setup
- **Lesson:** the IBRD can design and advise; the borrower must fund and sustain reform

Three forms of support across the cycle

Finance pays for the investment, technical support makes it sound, and training makes it last.

Table 7. The three forms of IBRD support across the project cycle

Stage	Financial support	Technical support	Training and capacity building
Preparation and appraisal	Loan size, instrument and terms agreed; Project Preparation Advance if needed	Feasibility, economic analysis, safeguard instruments, results framework	Assessment of the implementing agency's capacity
Implementation	Disbursement against eligible expenditures or results	Supervision, ISRs, restructuring when needed	PMU training in procurement, financial management and safeguards
Completion and after	Loan repayment; savings cancelled	ICR and IEG evaluation; lessons for new projects	Systems and institutions left in place (e.g. TEP's asset management system)

Source: Authors' synthesis of Sections 2.1–2.3.

How the three forms reinforce one another

Money gives weight to advice

Standards are adopted when they are conditions of a loan

Advice protects the money

Appraisal and supervision reduce the risk of wasted funds

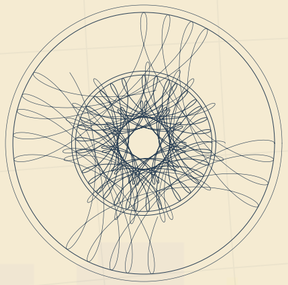
Training protects the results

Assets keep working only if local institutions run them

Binding constraints usually lie on the domestic side: counterpart funding, land acquisition and PMU capacity.

The value of the IBRD therefore lies less in any single form of support than in their combination, and that combination works only when domestic systems are ready to absorb it.

SECTION 2.4 OF THE PAPER



III

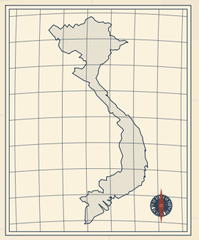
The IBRD and selected projects in Vietnam

Context, TEP (energy) and CCSEP (urban and environment)

In this part

3.1.1 · 3.1 · 3.1.3 · 3.1.4

Vietnam and the World Bank since 1993



October 1993

Lending resumes; IDA credits of approximately USD 70 million and USD 158.5 million [45; 46]

1994

Resident office opens in Hanoi, alongside Đổi Mới reforms [45; 46]

7 August 2014

TEP IBRD loan approved, almost three years before graduation [44; 41]

1 July 2017

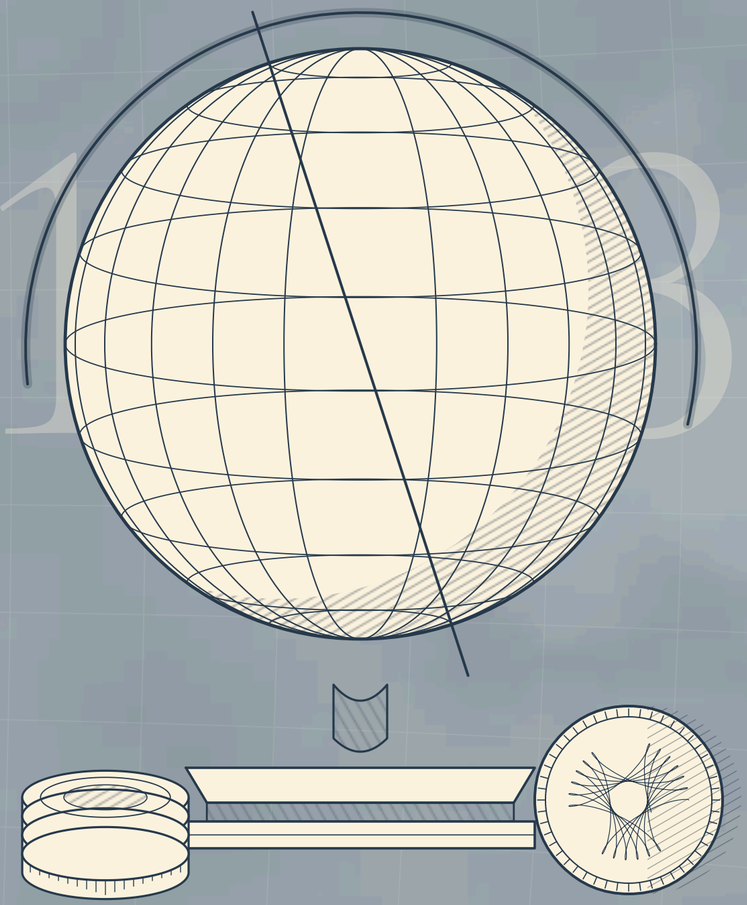
IDA graduation; transitional IDA18 support of SDR 1.593 billion [3]

July 2026

Upper-middle-income reclassification, distinct from graduation [4]

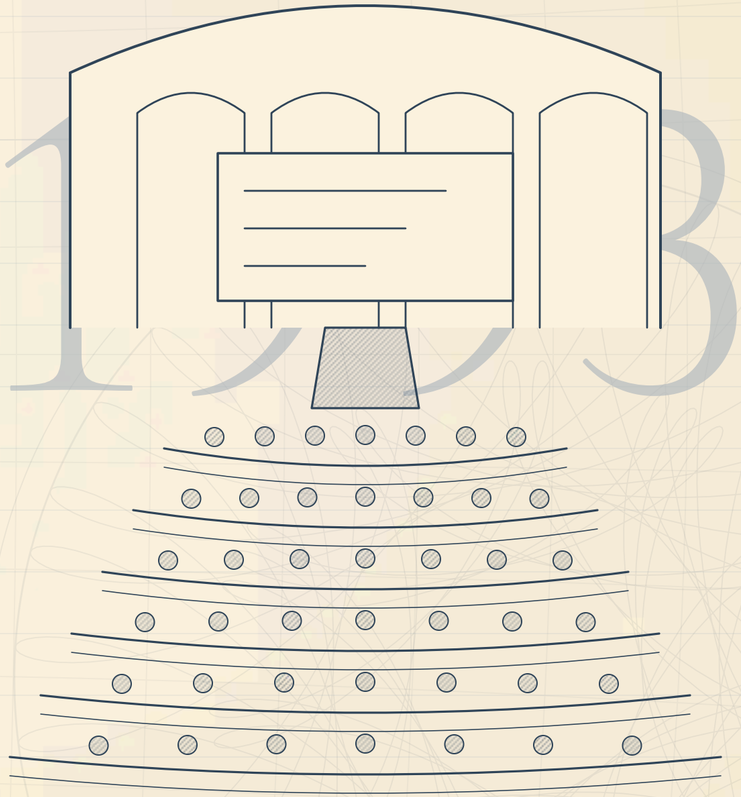
A shift in lending mix, not a substitution

- **Planned vs actual:** appraisal figures are plans; closing amounts are reported spending [44; 41; 37]
- **Umbrella term:** "World Bank financing" may be IDA or IBRD; check the legal documents
- **Market pricing:** debt-service capacity, project selection, returns and fiscal risk matter more
- **Coexistence:** IBRD-financed TEP ran alongside an active IDA portfolio [44; 41]
- **Mix and conditions:** graduation changed the lending mix and financing conditions



A late IDA project: SAHEP (2017)

- **Approval:** SAHEP (P156849) approved by the Board on 15 May 2017 [47]
- **IDA credit:** SDR 114.3 million, equivalent to USD 155 million at appraisal [47]
- **Cost:** USD 174.60 million in total, including USD 19.60 million counterpart [47]
- **Caution:** illustrates the late IDA pipeline; not proof IDA stopped in July 2017
- **Comparison:** institutional only; outputs not comparable with TEP's indicators



TEP and SAHEP at appraisal

Table 8. Selected project financing characteristics at appraisal: TEP and SAHEP

Indicator	Transmission Efficiency Project (TEP)	Support for Autonomous Higher Education Project (SAHEP)
World Bank project ID	P131558	P156849
Approval date	7 August 2014	15 May 2017
Financing institution	IBRD (loan 8417-VN)	IDA (credit 6036-VN)
World Bank financing (million USD)	500.00	155.00
Counterpart financing (million USD)	231.25	19.60
Total appraisal cost (million USD)	731.25	174.60
Primary sector	Electricity transmission	Higher education

Source: Authors' compilation from World Bank (2014, 2017), project appraisal documents.

Two legal systems, one chain of decrees

1. **38/2013/ND-CP**
   At TEP approval in 2014 [48]
2. **16/2016/ND-CP**
   Replaced Decree 38/2013 [49]
3. **56/2020/ND-CP**
   Replaced Decree 16/2016 [50]
4. **114/2021 · 20/2023**
   Earlier phase; not the current decree [51; 52]
5. **242/2025/ND-CP**
   Effective 10 September 2025 [53]
6. **119/2026/ND-CP**
   Issued 3 April 2026; transition rules [54]

- **Two systems:** Vietnamese public-investment and debt rules, plus World Bank requirements
- **ESF timing:** from 1 October 2018 [22]; TEP, a Category B project, predates it [44]

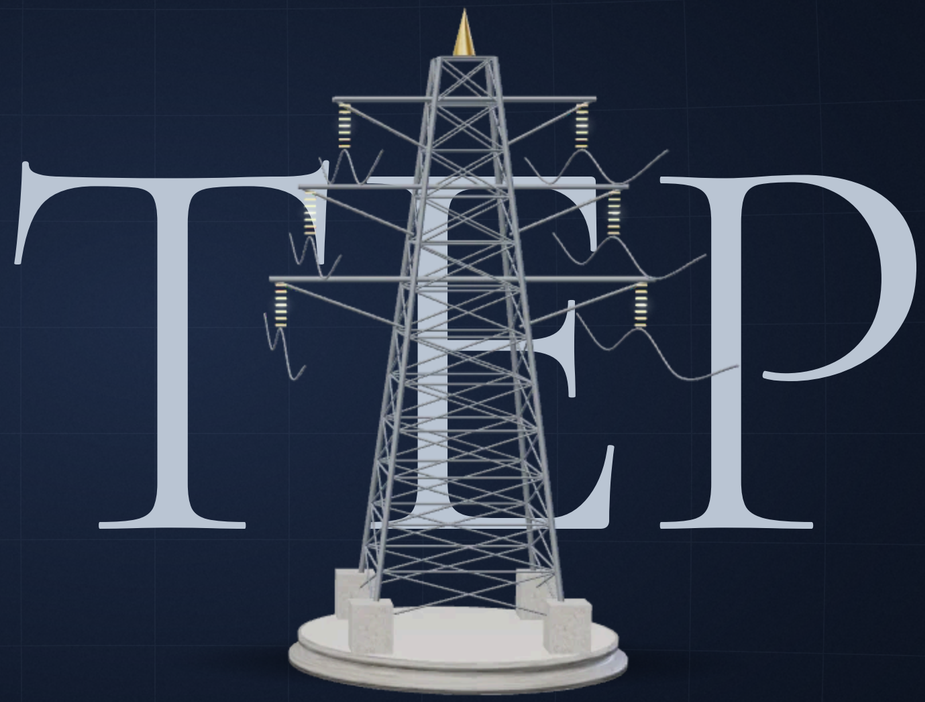
Regulatory milestones for ODA and concessional loans

Table 9. Selected milestones in Vietnam's regulatory framework for ODA and concessional loans

Instrument	Effective date / period	Relevance for the analysis
Decree 38/2013/ND-CP	Issued 23 April 2013	Principal ODA framework at TEP approval in 2014
Decree 16/2016/ND-CP	Effective 2 May 2016	Replaced Decree 38/2013; historical implementation period
Decree 56/2020/ND-CP	Effective 25 May 2020	Replaced Decree 16/2016; pre-2021 ODA framework
Decree 114/2021/ND-CP and Decree 20/2023/ND-CP	2021-9 September 2025	Subsequent ODA framework; superseded
Decree 242/2025/ND-CP	Effective 10 September 2025	Current principal decree as at October 2026
Decree 119/2026/ND-CP	Issued 3 Apr 2026; effective 1 Jan 2026	Amends Decree 242/2025; includes transition rules

Source: Authors' compilation from Government of Viet Nam (2013, 2016, 2020, 2021, 2023, 2025, 2026).

III



Case study 1 · Transmission Efficiency Project

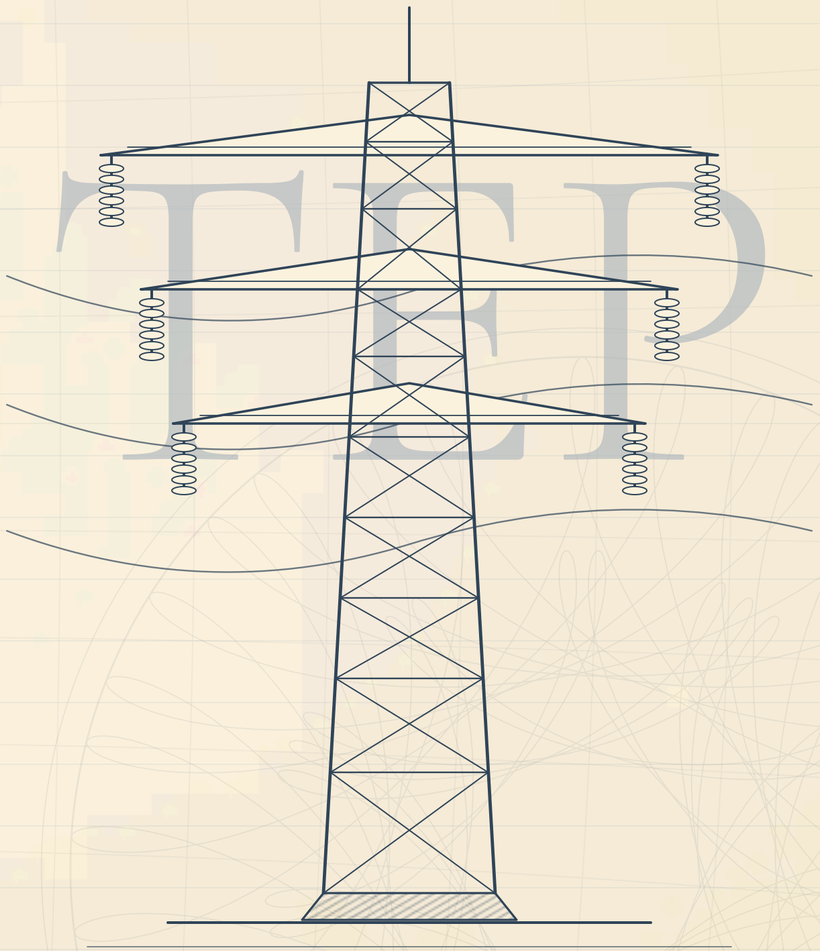
Energy sector · P131558 · IBRD loan 8417-VN

In this part

3.2.1 · 3.2.2 · 3.2.3 · 3.2.4 · 3.2.5 · 3.2.6

TEP: project overview

- **Dates:** approved 7 August 2014; effective 10 February 2015 [44; 41; 37]
- **Closing:** 31 December 2019, extended to 31 December 2021
- **Objective:** capacity, efficiency and reliability of transmission; financed through IPF
- **Agencies:** NPT (an EVN subsidiary) through three regional project management boards [44; 37]
- **Network:** 220-kV and 500-kV lines and substations in three regions [44; 37]



TEP profile and milestones

Table 10. TEP: basic project profile and implementation milestones

Item	Verified information
Project name / ID	Transmission Efficiency Project (TEP) / P131558
Loan number / instrument	IBRD loan 8417-VN / Investment Project Financing
Borrower / responsible agency	Socialist Republic of Viet Nam / NPT (EVN subsidiary)
Approval / effectiveness	7 August 2014 / 10 February 2015
Original / actual closing	31 December 2019 / 31 December 2021
Appraisal IBRD loan	USD 500.00 million
Appraisal borrower contribution	USD 231.25 million
Appraisal total project cost	USD 731.25 million
Actual total project cost at closing	USD 517.53 million

Source: Authors' compilation from World Bank (2014, Project Data Sheet), World Bank (2022a, pp. 1-3, 49), and World Bank (2023, pp. v-vi).

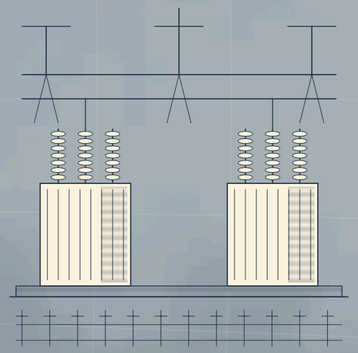
The planned financing envelope

731.25
USD million total cost at appraisal [44; 41]

500.00
USD million IBRD loan

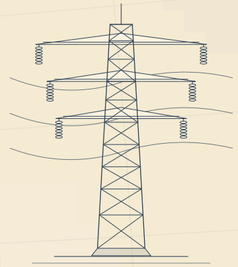
231.25
USD million borrower resources

1.25
USD million front-end fee



- **A plan:** these amounts are the planned envelope, not money drawn or spent
- **Fee included:** investment components alone do not equal the complete total [44; 41]

Three components



1 · Transmission infrastructure

Build, rehabilitate, upgrade high-voltage lines and substations [44; 42]; USD 625.00 million [41]

2 · Smart-grid network

Monitoring, control and protection equipment; not new capacity [44; 42]; USD 80.00 million [41]

3 · Capacity building

NPT's smaller institutional reform agenda; USD 25.00 million [41]

Cost by component, approval vs closing

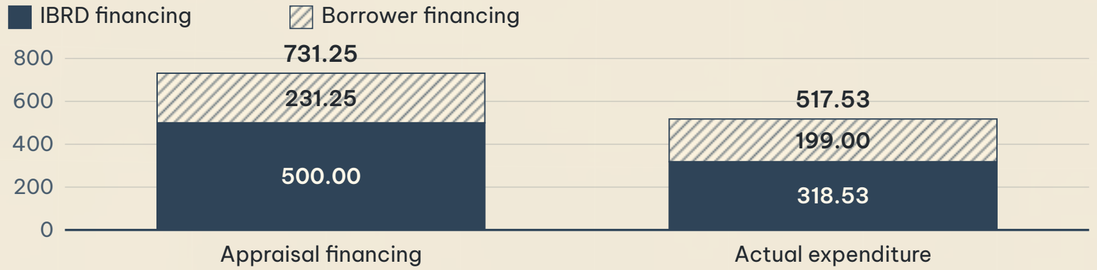
Table 11. TEP project cost by component at approval and at closing (million USD)

Project component	Amount at approval	Actual at closing	Actual / approval (%)
Enhancing Transmission Infrastructure	625.00	464.53	74.30
Developing Smart Grid Network	80.00	46.01	57.50
Capacity Building	25.00	5.74	22.96
Front-end fee	1.25	1.25	100.00
Total project cost	731.25	517.53	70.77

Source: World Bank (2022a, Annex 3, Table 3.1, p. 48). Figures transcribed from the original table; the fee row is labeled using the PAD (World Bank, 2014).

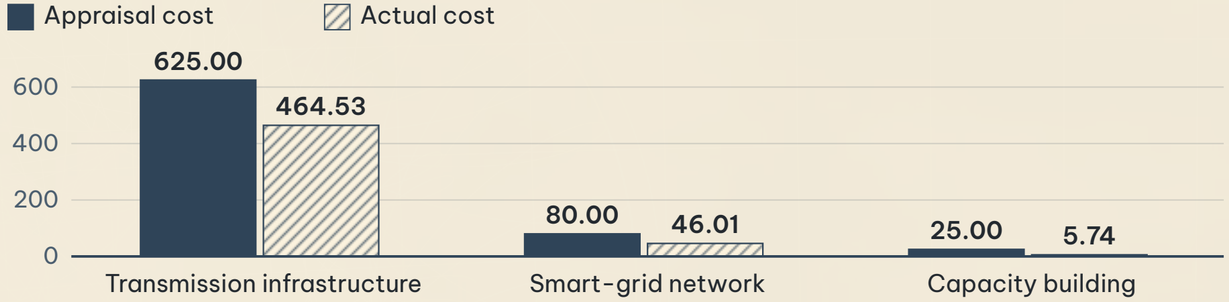
Appraisal vs closing, in two pictures

FIGURE 1. TEP FINANCING STRUCTURE: COMMITTED/APPRAISED RESOURCES VERSUS ACTUAL CLOSING EXPENDITURE (MILLION USD)



Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.2). Actual expenditure is not equivalent to contractual loan availability.

FIGURE 2. TEP EXPENDITURE BY INVESTMENT COMPONENT AT APPRAISAL AND AT CLOSING (MILLION USD)



Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.1). The USD 1.25 million front-end fee is excluded from the three component bars but included in total project costs.

- **IBRD at closing:** USD 289.03 million transmission, USD 28.01 million smart grid [41]
- **Capacity building:** USD 5.50 of 5.74 million from the borrower, USD 0.24 million IBRD [41]

Financing by source: appraisal vs actual

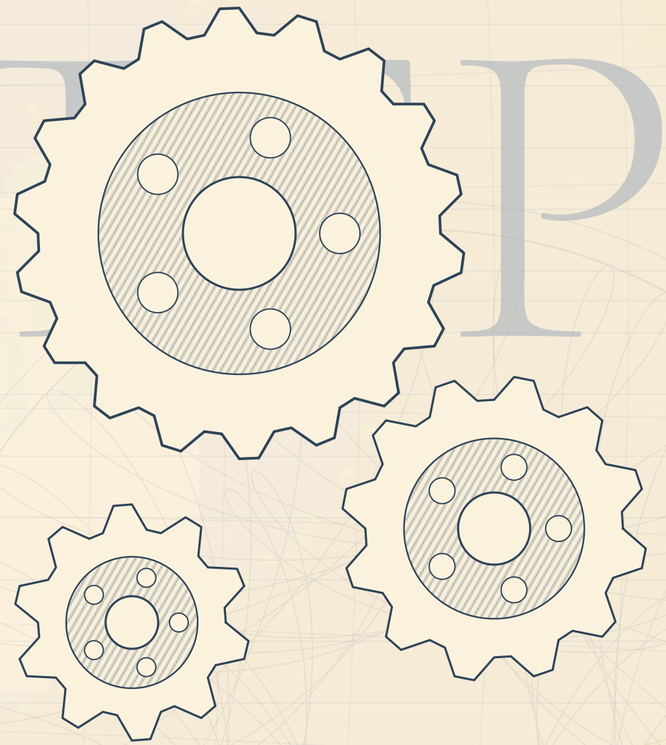
Table 12. TEP component financing by source: appraisal versus actual (million USD)

Component	Appraisal total	Actual total	Appraisal IBRD	Actual IBRD
1. Transmission infrastructure	625.00	464.53	429.45	289.03
2. Smart-grid network	80.00	46.01	55.00	28.01
3. Capacity building	25.00	5.74	14.30	0.24
Front-end fee	1.25	1.25	1.25	1.25
TOTAL	731.25	517.53	500.00	318.53

Source: Adapted from World Bank (2022a, Annex 3, Table 3.2, p. 49). IBRD component allocations and actual costs are taken from the original table.

Contractual disciplines and the AMS

- **Disciplines:** spending tied to procurement, finance, supervision, E&S obligations
- **Savings:** competitive bidding under Bank guidelines [37, pp. ix–xi, 17]
- **Less flexibility:** conditions limited reallocating savings to additional works
- **Four strands:** AMS, cost-reflective tariffs, IFRS reporting, testing laboratory [44; 41; 37]
- **AMS:** fully operational; guides investment and maintenance decisions
- **Counterpart-funded:** tariff, IFRS, laboratory, metering [41, Annex 3; 42, pp. 2–3]



Institutional and digital workstreams

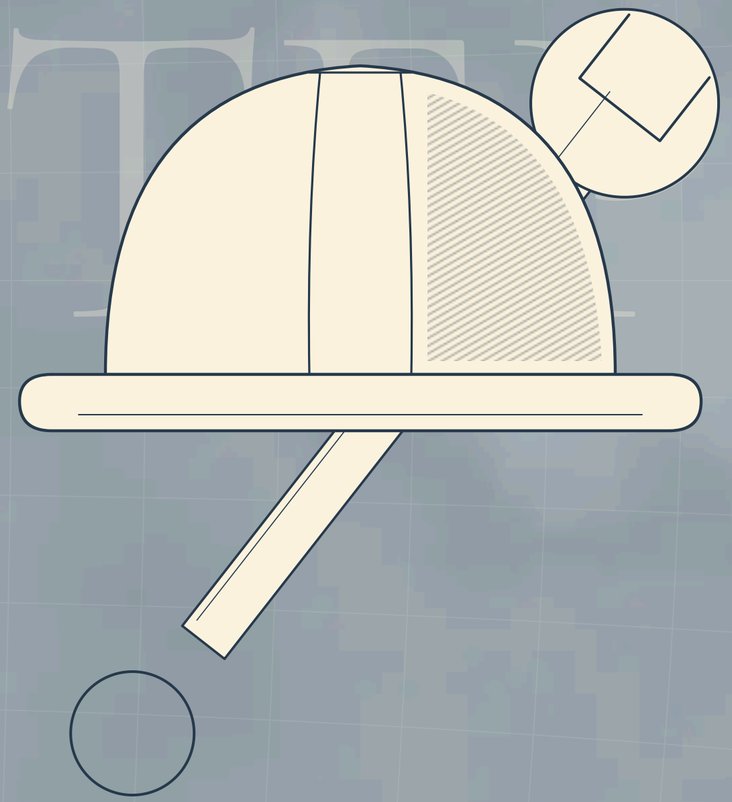
Table 13. Selected institutional and digital systems activities under TEP

Workstream	Original purpose	Position by project closing
Asset management system (AMS)	Data-supported maintenance and capital-investment decisions	Operational; actual subcomponent cost USD 2.24 million, including USD 0.24 million IBRD
Cost-reflective transmission tariff	Support financial sustainability and tariff-related analysis	USD 0.20 million actual cost; financed by NPT/borrower
IFRS-related reporting capacity	Improve financial reporting and governance	USD 0.30 million actual cost; financed by NPT/borrower
Electrical testing laboratory	Improve capacity for specialised testing	Partial upgrade; USD 3.00 million actual cost; financed by NPT/borrower
Operation/equipment information system (Component 2)	Upgrade related digital management information system	Cancelled after existing system judged adequate

Source: Authors' synthesis of World Bank (2022a, Annex 3, Table 3.2, p. 49) and World Bank (2022b, pp. 2-3).

Learning platform, technology friction

- **Capabilities:** procurement, contracts, finance, quality, monitoring, safeguards [37, pp. ix–x, 15–16]
- **Mixed sources:** built partly through TEP, partly through earlier operations
- **No trainee count:** the evaluation gives none, so none is reported
- **Smart-grid friction:** technology choice, approvals and substation outages took longer
- **IEG view:** better advance preparation would have reduced the extension [37, pp. x–xi]



Physical outputs against targets

IEG: 981 km of new lines, 261 km rehabilitated, 4,263 MW installed [42, pp. 2–3; 37, pp. viii–ix, 8].

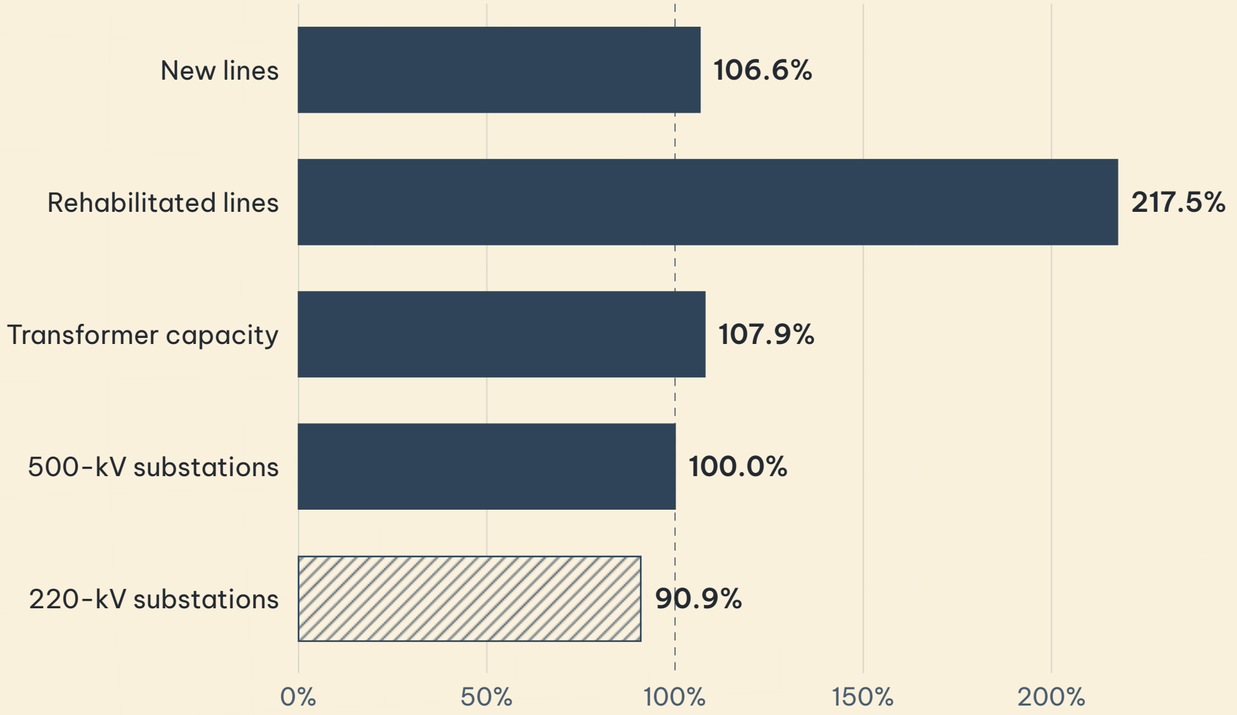
Table 14. TEP selected physical outputs: original target and independently reported achievement

Indicator	Target	Actual	Achieved / target
New transmission lines	920 km	981 km	106.6%
Rehabilitated transmission lines	120 km	261 km	217.5%
Additional transformer capacity	3,950 MW	4,263 MW	107.9%
500-kV smart-grid substations	5	5	100.0%
220-kV smart-grid substations	11	10	90.9%

Source: World Bank (2023, pp. viii-ix, 8); achievement percentages calculated by the authors.

Output achievement (%)

FIGURE 3. TEP OUTPUT ACHIEVEMENT RELATIVE TO ORIGINAL RESULTS TARGETS (%)



Source: Chart calculated by the authors from World Bank (2023, p. 8). A value of 100% means that the original output target was met, not that all project-wide economic benefits were realised.

- **Above target:** new lines, rehabilitated lines and transformer capacity
- **Smart grid:** five 500-kV substations; 10 of 11 targeted 220-kV upgrades
- **Ninh Binh:** upgrade cancelled; substation scheduled for dismantling

Capacity and electricity transmitted

almost 80%

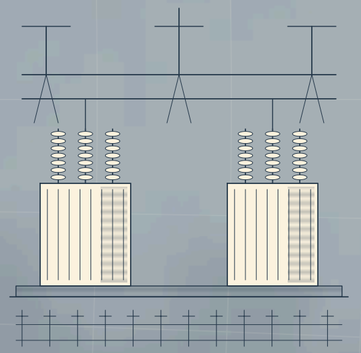
capacity rise in project areas by closing

85.6%

rise relative to baseline by March 2023

211.47 TWh

NPT system, 2022 (184.50 in 2018; 200.86 in 2021)



- **Source:** IEG reported figures [37, pp. viii–ix, 8–9]
- **Context only:** the national series is not electricity supplied solely because of TEP

System-level service and efficiency indicators

Several measures relate to the entire grid and cannot be isolated to project sub-areas [37, pp. 9–11].

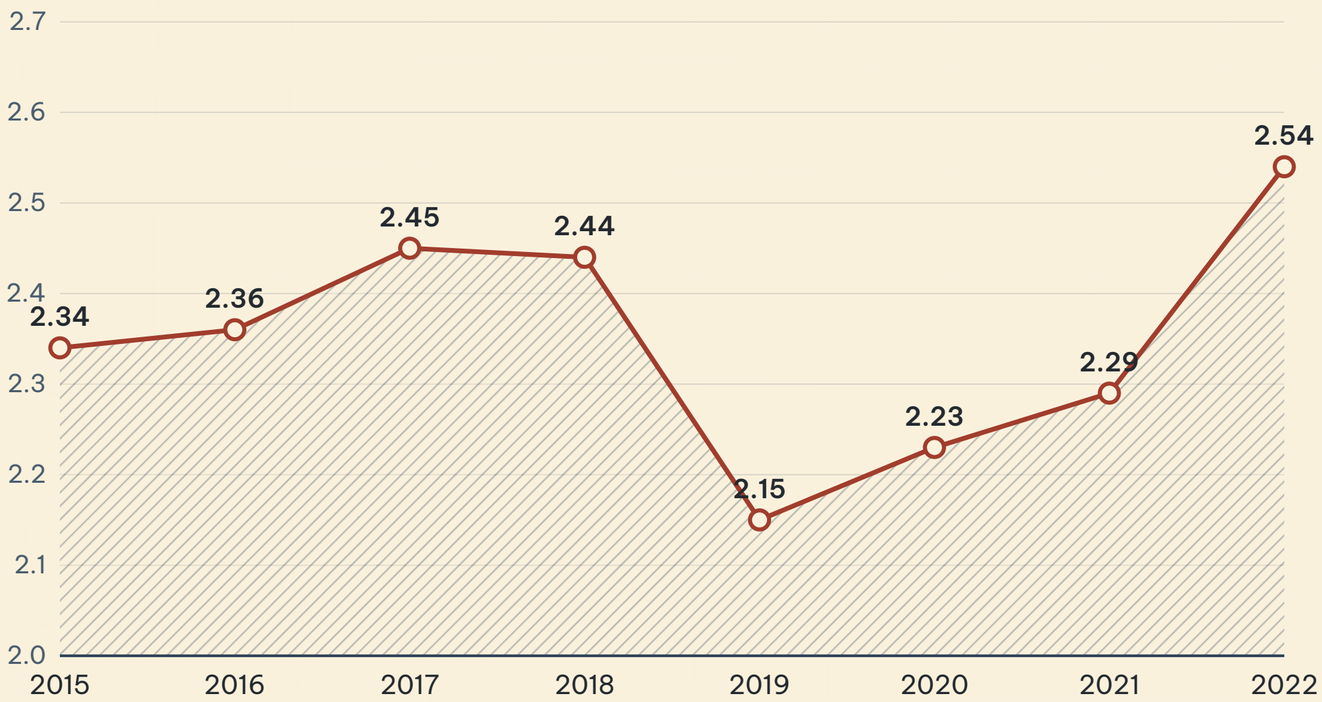
Table 15. Selected system-level service and efficiency indicators around TEP completion

Indicator	Earlier observation	Later observation	Interpretation / scope
O&M cost per energy transmitted	USD 0.87/MWh (baseline)	USD 0.67/MWh (2021 and 2022)	Lower unit costs; NPT-wide
Unserved energy caused by transmission failures	4,875 MWh (2012)	817 MWh (2021)	Large reduction; system indicator
Avg. interruption duration per customer	724.28 min (2018)	356.12 min (2021)	Improved reliability indicator
Avg. interruption frequency per customer	4.97 times (2018)	3.11 times (2021)	Improved reliability indicator
Transmission losses	2.34% (2015)	2.29% (2021); 2.54% (2022)	Improved by closing then worsened

Source: Authors' compilation from World Bank (2023, pp. 9-11, Tables 2.2-2.3; underlying EVN data).

Transmission losses, 2015-2022 (%)

Figure 4. Vietnam's electricity transmission loss ratio, 2015-2022 (%)



Source: Chart prepared by the authors from World Bank (2023, Table 2.3, p. 11), which cites EVN as the underlying data source. The system-wide transmission loss ratio is not a TEP-only impact estimate. The IEG executive summary reports 2.50% for 2022, whereas Table 2.3 reports 2.54%.

- **Trend:** 2.15% in 2019, then 2.29% in 2021 and 2.54% in 2022 [37, pp. 11–13]
- **Causes:** wind and solar flows, congestion, insufficient new transmission investment
- **Faults:** 500-kV fell from 42 to 29; 220-kV rose from 135 to 159

Renewables and the economic return

52.6%

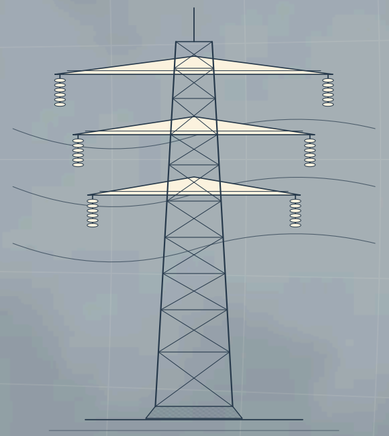
re-estimated EIRR, 2022 completion report [41, Annex 4]

31.4%

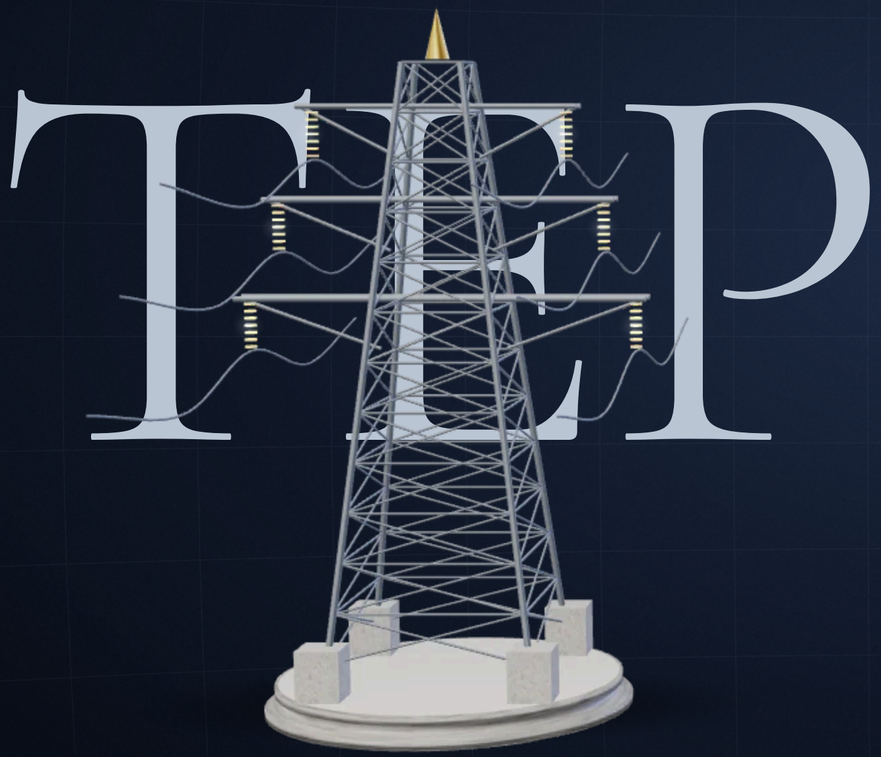
EIRR in the appraisal economic analysis

USD 1,089 million

economic net present value at a 10% discount rate



- **Renewables:** better conditions for intermittent generation [37, pp. 8–13]
- **Not quantified:** no verified extra solar or wind MWh; curtailment continued
- **Model result:** not a cash return to IBRD or NPT; sensitive to assumptions



Commitment vs disbursement

500.00	318.53	181.47
USD million committed	disbursed · 63.7%	difference · 36.3%

- **Project cost:** USD 517.53 million, USD 213.72 million below appraisal [41, Annex 3; 37, p. v]
- **Counterpart:** USD 231.25 million planned, approximately USD 199.00 million final
- **Not a failure:** lower steel prices, competition, fewer activities [37, pp. x, 17]
- **Different concept:** ~USD 160 million cancelled is not the USD 181.47 million gap

Financing gap: definitions

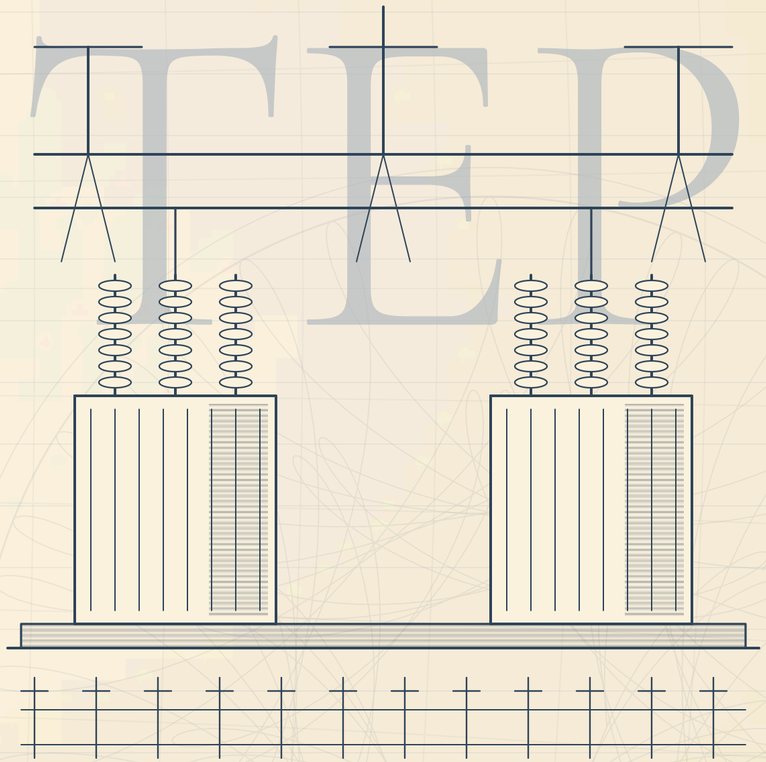
Table 16. TEP financing gap: definitions and derived comparisons (million USD)

Measure	million USD	Meaning
IBRD amount committed at appraisal	500.00	Original approved financing envelope
IBRD amount actually disbursed	318.53	World Bank financing used through project closing
Commitment minus disbursement	181.47	Derived arithmetic gap: 36.3% of commitment
Loan savings reported cancelled by IEG	~160.00	Separate approximate cancellation figure in IEG assessment
Total project cost at appraisal	731.25	Initial budget; includes fee
Total actual project cost	517.53	Closing expenditure
Appraisal minus actual project cost	213.72	Derived reduction in overall project cost (29.2%)

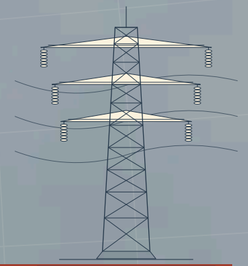
Source: Authors' compilation and calculations from World Bank (2022a, Annex 3, Table 3.2) and World Bank (2023, pp. v, x, 17).

Delays, safeguards, sustainability

- **Smart grid:** selection and approval took roughly four years
  [42, pp. 3, 12; 37, pp. x–xi, 17–18]
- **Two years late:** bidding, compensation and land acquisition also delayed works
- **Still highly satisfactory:** main capacity, efficiency and reliability objectives achieved
- **E&S:** about 2,500 affected households, 80 relocated
  [37, pp. x–xi, Appendix B]
- **Sustainability:** depends on adequate tariffs and timely investment
  [37, pp. 18–20]



TEP: overall assessment



Strengths

- **Outputs:** strongest demonstrable achievements in physical outputs
- **Operations:** improved operating indicators
- **Cost:** useful reduction in capital costs relative to the appraisal budget

Weaknesses

- **Preparation:** lengthy smart-grid preparation process
- **Money:** large gap between loan commitment and final disbursement
- **Constraints:** capacity building on the counterpart side; sector-wide network constraints

Three conclusions from TEP

1 · Before 2017

IBRD participation existed alongside IDA; not a purely post-IDA arrangement

2 · Two measures

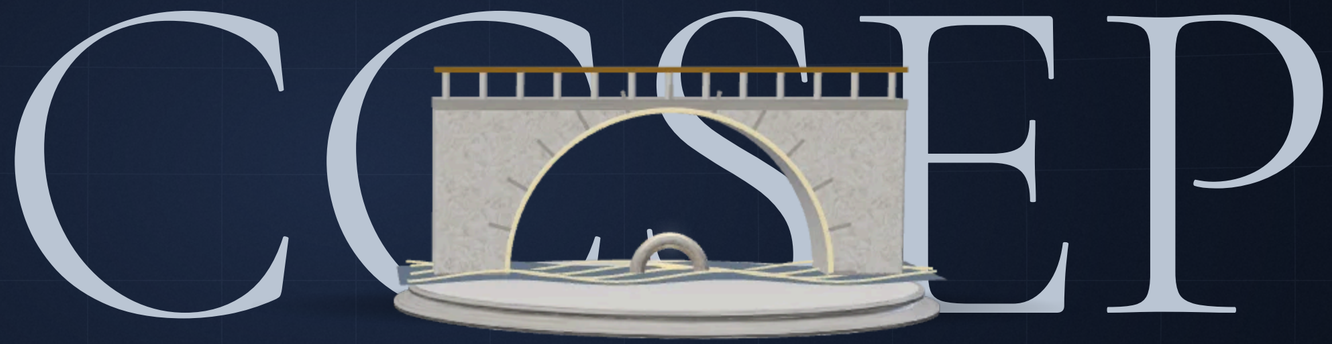
Evaluate approved and disbursed funds, with borrower spending shown separately

3 · Attribution

Outputs do not prove all later system gains or renewables were caused by TEP

Next: CCSEP combined IBRD and IDA financing with decentralized provincial implementation.

III



Case study 2 · Coastal Cities Sustainable Environment Project

Urban and environment sector · P156143

In this part

3.3.1 · 3.3.2 · 3.3.3 · 3.3.4

Why CCSEP was needed

~10%

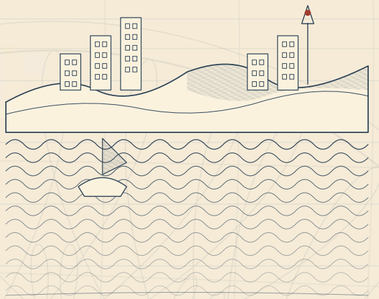
of urban wastewater treated

USD 771 million

estimated investment need per year

~27%

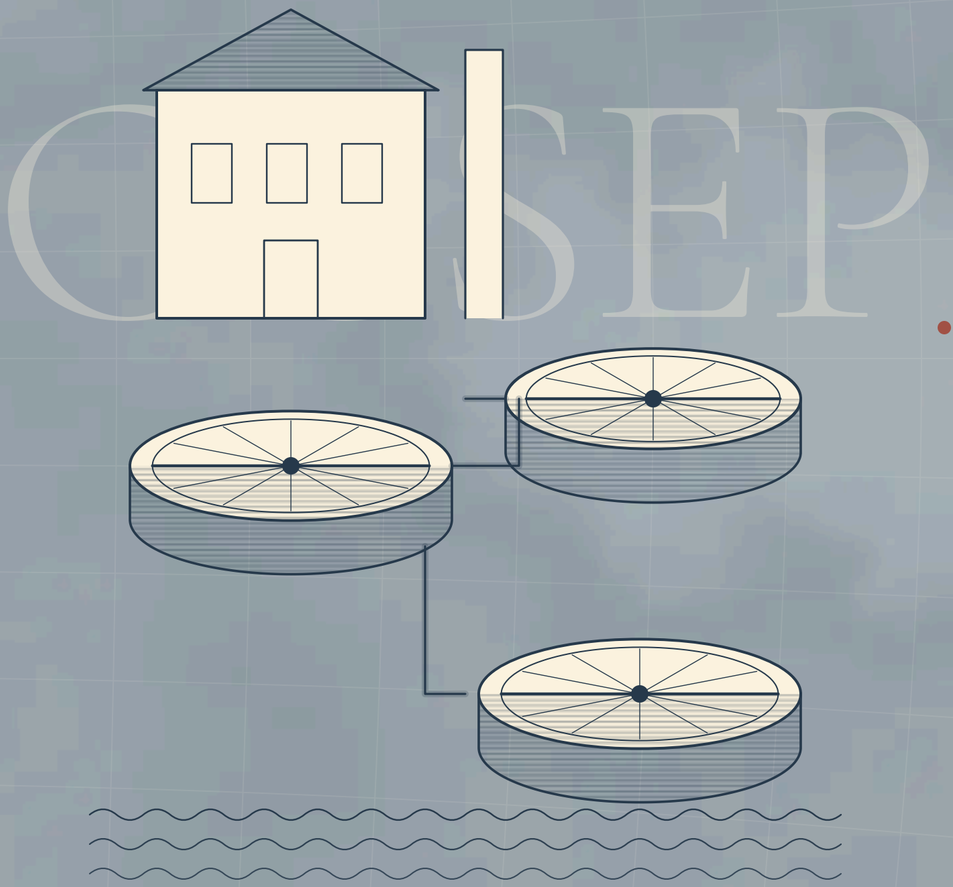
of the need covered by expected funding [33]



- **Strain:** rapid urbanization with limited resources in a lower-middle-income economy
- **Overflows:** combined drains discharged untreated wastewater onto streets and beaches
- **Response:** an IBRD loan with IDA credits gave provinces upfront investment capital

CCSEP: project overview

- **CCSEP (P156143):** appraised in April 2017 under IPF; approved 5 May 2017
- **Continuity:** follows CCESP (2007–2014) in Dong Hoi, Quy Nhon, Nha Trang; adds Phan Rang–Thap Cham
- **Dates:** signed 27 October 2017; effective 18 January 2018; loan closed 30 June 2024
- **Cost:** USD 273.6 million at appraisal [33; 43]
- **Implementation:** PMUs in Quang Binh, Binh Dinh, Khanh Hoa and Ninh Thuan



Planned and actual timeline

Table 17. Planned and actual project implementation timeline

Milestone	Planned	Actual
Approval	5/5/2017	5/5/2017
Agreement signing	-	27/10/2017
Effectiveness date	3/8/2017	18/1/2018
Implementation start	5/5/2017	18/1/2018
Implementation end	30/6/2022	-
Loan closing	31/12/2022	30/6/2024

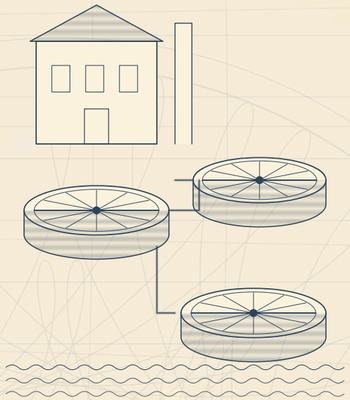
Source: projects.worldbank.org

Objective and key indicators

290,000
direct beneficiaries (approximately)

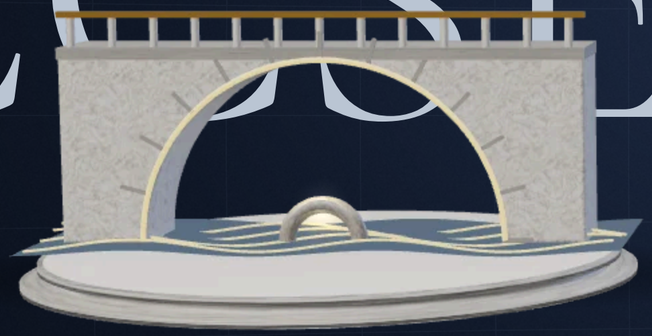
256,000
people with household sewer connections

100%
service cost recovery level [33]



- **PDO:** access to sanitation; efficiency of service providers in the four cities
- **Investments:** flood control, wastewater, solid waste and urban connectivity
- **Reforms:** Decree No. 80/2014/ND-CP [56]: service contracts and tariff roadmaps

CCSEP

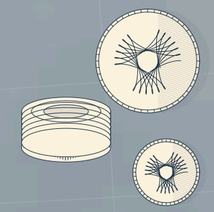


A blended financing package

273.6	46	190.2
USD million total	IBRD · 16.8%	IDA · 69.5%

- **IPF:** finances specific investment items, not policy reforms or results [33, Data Sheet]
- **Shares:** World Bank USD 236.2 million (86.3%); counterpart USD 37.4 million (13.7%) [33, Data Sheet, para. 43]
- **Blend:** IBRD USD 46 million with an IDA credit of USD 190.2 million [33, para. 66]
- **Why:** blend terms shortly before IDA graduation [33, paras. 1, 44]

Two sources, two sets of terms



IBRD loan

- **Currency:** USD; floating rate then based on LIBOR
- **Maturity:** 29 years including a 10-year grace period
- **Repayment:** equal principal repayments

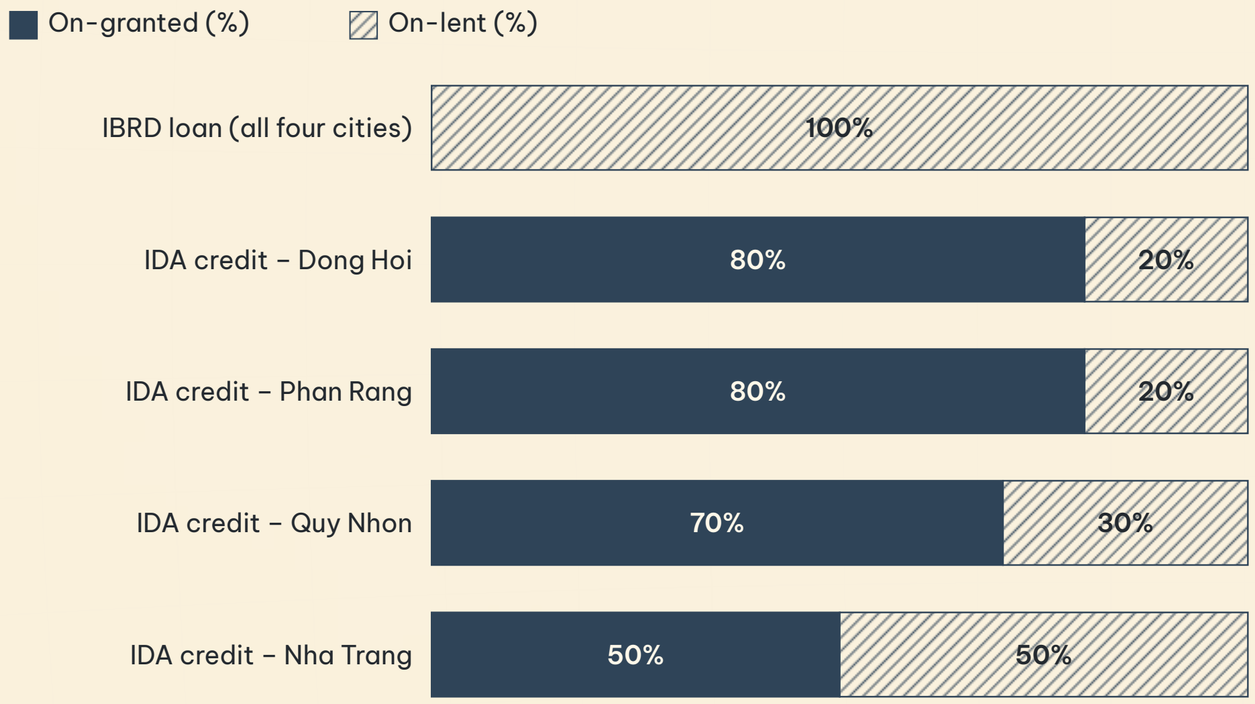
IDA credit

- **Currency:** SDR; 25 years including a 5-year grace period
- **Cost:** 2% a year (0.75% service charge, 1.25% interest)
- **Fees:** commitment fee 0.5% a year; no front-end fee

Terms as stated in the PAD [33, para. 44].

On-granting vs on-lending

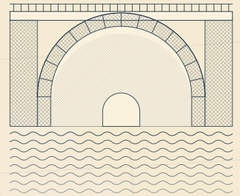
Figure 6. Share of on-granting and on-lending by financing source



Source: projects.worldbank.org

- **IDA on-granted:** 80% Dong Hoi and Phan Rang, 70% Quy Nhon, 50% Nha Trang [33, para. 45]
- **Overall:** 49.1% on-granted, 37.2% on-lent, 13.7% counterpart [33, Annex 5, Table 5.1]
- **Real debt:** about USD 101.8 million on-lent; Binh Dinh could slightly exceed its ceiling [33, paras. 66, 75–76, Annex 5]

Four components



1 · Sanitation infrastructure expansion · USD 140.7 million

Flood control, drainage, treatment plants, household connections, solid waste [33, para. 31]

2 · Urban connectivity improvement · USD 31.2 million

Over 7 km of roads and 5 bridges along canals and rivers [33, paras. 20, 33]

3 · Compensation and site clearance · USD 25.1 million

Compensation, land acquisition and resettlement costs [33, para. 34]

4 · Implementation support and institutional reform · USD 11.7 million

PMU capacity; Decree No. 80/2014/ND-CP reforms [33, para. 35]

IBRD funds fully financed Component 2 [33, para. 34, Annex 2 Table 2.1, Annex 5 Table 5.2].

Components and financing sources (base cost)

Table 18. Project components and financing sources (base cost, million USD)

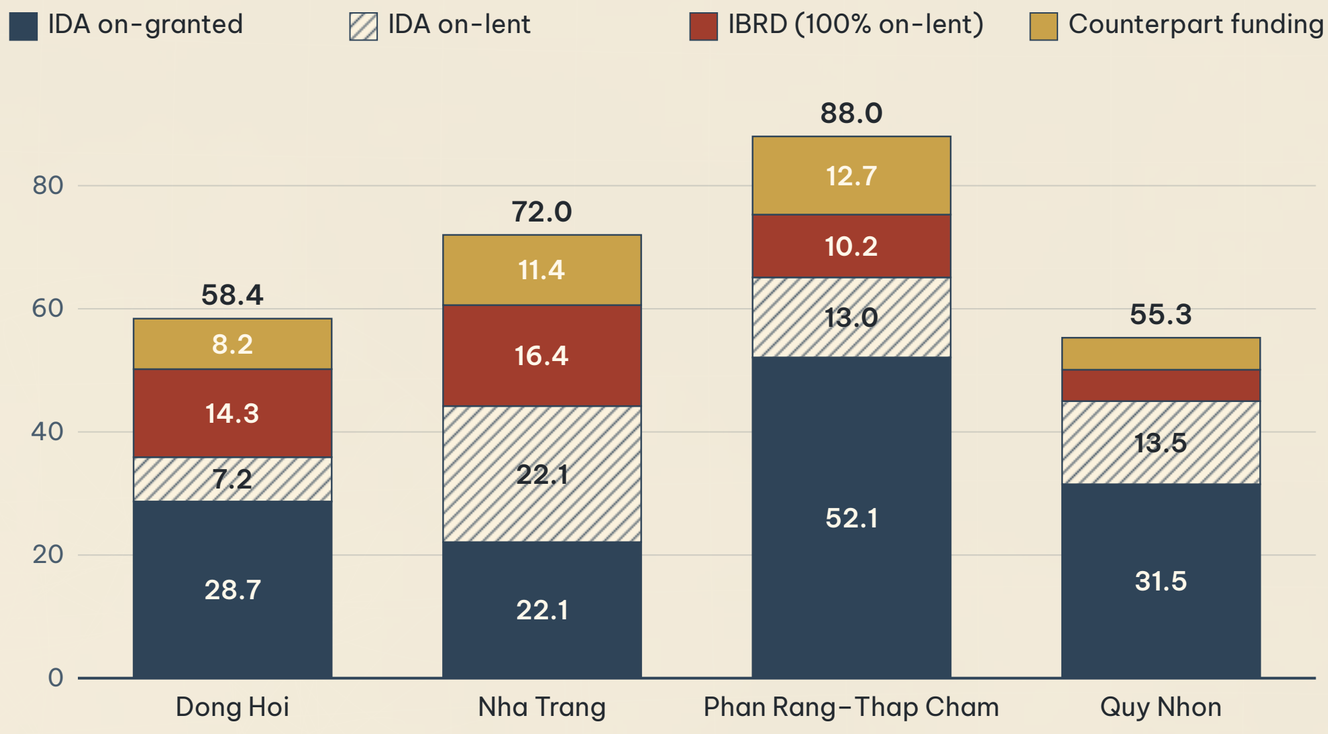
Component	Total	IDA	IBRD	Counterpart funding
1. Sanitation Infrastructure Expansion	140,7	140,7	-	-
2. Urban Connectivity Improvement	31,2	-	31,2	-
3. Compensation and Site Clearance	25,1	3,4	-	21,7
4. Implementation Support and Institutional Reform	11,7	-	-	11,7
Total Base Cost	208,7	144,1	31,2	33,4

Source: projects.worldbank.org

Note: The table shows base costs only. The difference from the total project cost comes from contingencies (USD 37.9 million), VAT (USD 22.3 million), and capitalized fees and interest (USD 4.8 million), which are also financed by the three sources. This is why the IBRD total is USD 46.0 million, against USD 31.2 million of base cost for Component 2 (World Bank, 2017, Annex 2, Table 2.1). Minor differences in totals are due to rounding in the PAD.

Sources of funding by city

Figure 7. Sources of funding by city (million USD)

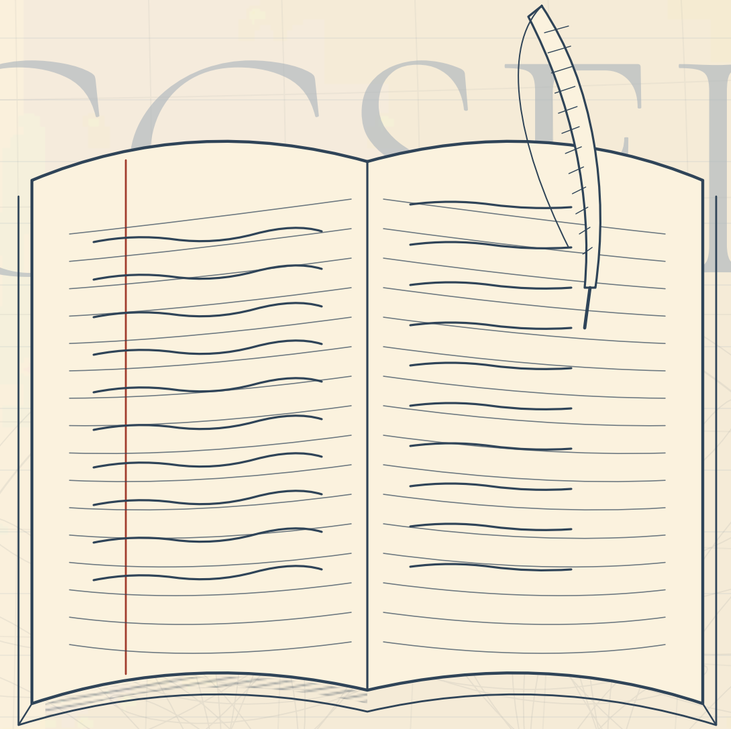


Source: projects.worldbank.org

- **Largest:** Phan Rang–Thap Cham USD 87.9 million [33, Annex 2, Tables 2.2–2.5]
- **New locality:** its own resettlement site, the largest PMU program [33, paras. 34, 63]
- **IBRD portion:** Nha Trang USD 16.4 million, Dong Hoi USD 14.3 million [33, para. 46, Table 1]

Decentralized disbursement

- **Accounts:** a designated USD account per province [33, Annex 3, para. 21]
- **Methods:** advances, reimbursements, special commitments, direct payments [33, Annex 3, para. 22]
- **100% financing:** eligible goods, works and consulting, including taxes [33, Annex 3, para. 24]
- **Three conditions:** on-lending, counterpart and tariff roadmap approvals [33, Data Sheet, para. 62]



Funding structure: plan vs adjusted

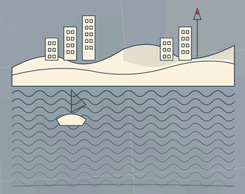
23 November 2022: USD 11.8 million IBRD and about USD 34 million IDA (SDR 25.592 million) cancelled [43].

Table 19. Funding structure: plan vs. adjusted (million USD)

Funding source	Appraisal amount	Appraisal share	Adjusted amount	Adjusted share	Difference
Total WB financing	236,2	86,33%	190,6	79,22%	45,6
IBRD	46	16,81%	34,2	14,21%	11,8
IDA	190,2	69,52%	156,4	65,00%	33,8
Counterpart funding	37,4	13,67%	50	20,78%	-12,6
Total project cost	273,6	100,00%	240,6	100,00%	33

Source: projects.worldbank.org

Adjusted commitments



Whole project [33 , Annex 2; 43]

- **Loan capital:** USD 236.2 million → USD 190.6 million
- **Total investment:** USD 273.6 million → USD 240.6 million
- **Counterpart:** USD 37.4 million → USD 50.0 million (13.7% → 20.8%)

By city

- **Quy Nhon:** sharpest decrease, USD 55.3 million → USD 33.2 million
- **Phan Rang–Thap Cham:** only increase, USD 87.9 million → USD 97.9 million
- **Its counterpart:** USD 12.7 million → USD 28.4 million

Adjusted figures are adjusted commitments, not disbursed amounts.

Slow start, slow disbursement

18 January 2018

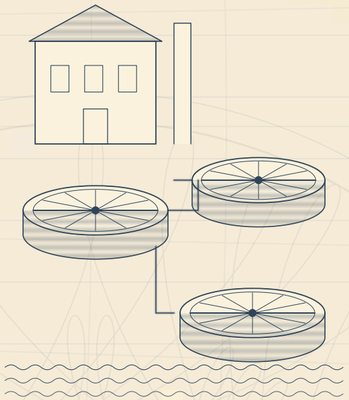
effective date, not 3 August 2017 [33; 55; 43]

USD 84.8 million

disbursed by late 2022, about 36% of original loan capital

45%

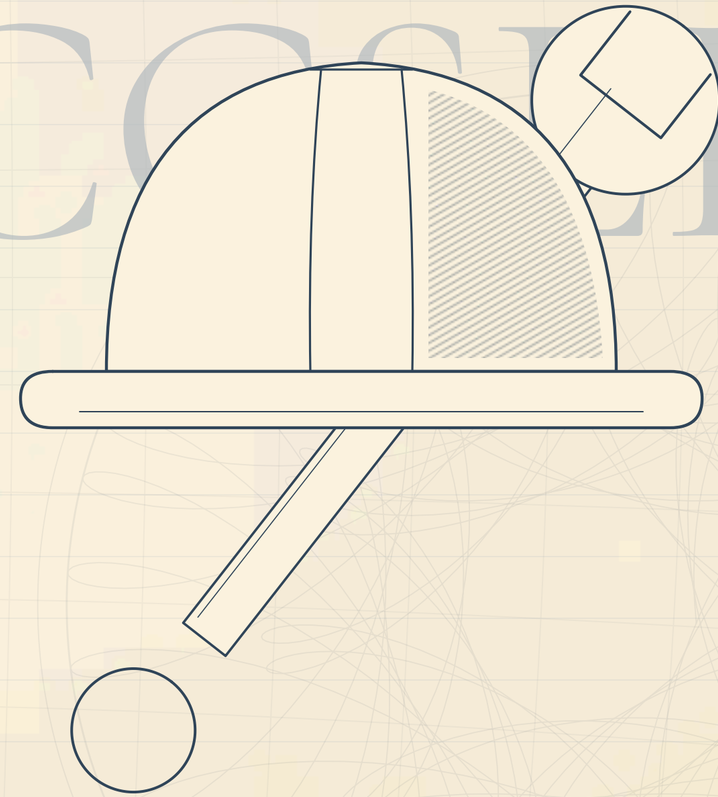
physical works, share of USD 160.9 million contracts [43]



- **Projection:** the PAD expected USD 212.3 million by the end of FY2022
- **Split:** IBRD USD 16.47 million and IDA USD 68.34 million
- **Root cause:** counterpart allocations only from July 2019; zero in 2017 and 2018

Technical support and delay factors

- **Safeguards:** Category A; OP 4.12 and Bank procurement guidelines [33]
- **End-2022 ratings:** progress Moderately Satisfactory; PDO likelihood Moderately Unsatisfactory
- **Fiduciary:** procurement, finance, safeguards Moderately Satisfactory; covenants complied with [43]
- **Delays:** site clearance, weak contractors, storms in 2020, COVID-19 in 2020–2021
- **Contracts:** weak management of extensions, payments and completion certificates



Resettlement: the main bottleneck

1,486

affected households in the PAD, 329 to relocate [33]

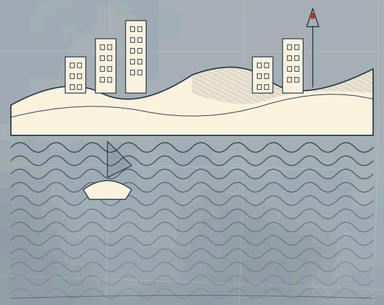
160 / 585

Nha Trang compensation plans approved

1,400 / 1,586

Phan Rang compensation plans approved [43]

- **Nha Trang:** a third of approved plans rejected; most Component 2 contracts halted
- **Cancelled:** `NT-2.1` partially, `NT-2.2` completely; affected households about 35% fewer
- **Elsewhere:** Dong Hoi and Quy Nhon largely completed resettlement [43]



Key performance indicators at 31/10/2022

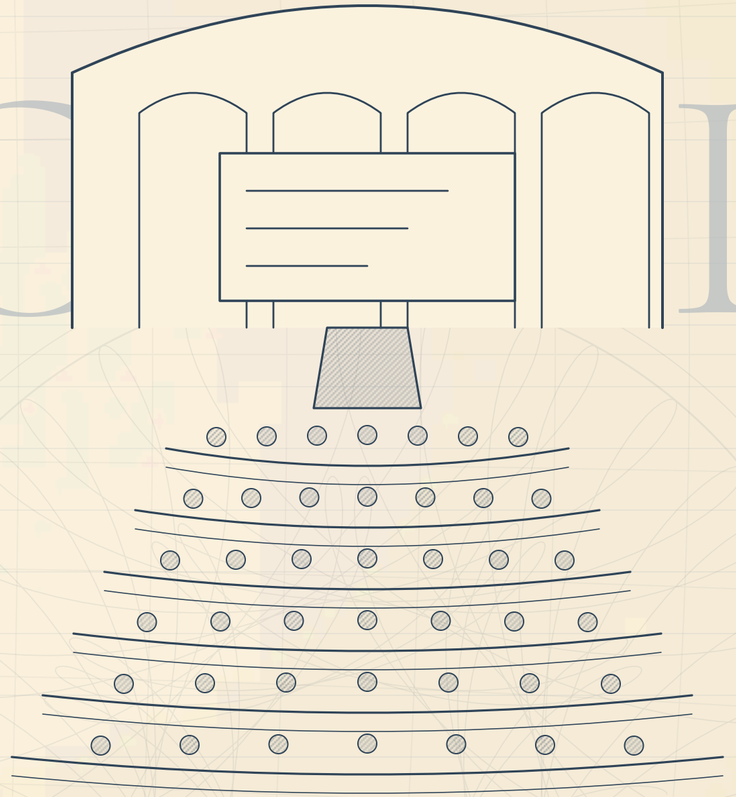
Table 21. Progress on key performance indicators as of 31/10/2022

Indicator	Target (PAD)	Actual	Ratio
Direct beneficiaries	290.000	185.559	64%
People with access to sewer connections	256.000	97.400	38%
Cost recovery level	100%	98%	98%
Roads (km)	22	4,38	20%
Bridges	5	3	60%

Source: projects.worldbank.org

Training and institutional reform

- **PMUs:** inherited from CCESP; Phan Rang's new PMU took 10 of 12 staff from water-sector ODA units
- **Support:** training, audit teams, manuals; PPIAF (USD 350,000) and GIZ [33]
- **Targets:** 14 service contracts, 4 tariff roadmaps, 4 connection policies [33]
- **Bank advice:** qualified staff, coordination, supervision, monthly meetings [43]
- **Outcome:** PSMUs set up; service contracts largely unexecuted except Nha Trang plant



One bottleneck for all three forms

36%

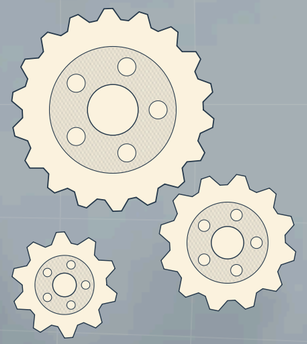
of original loan capital disbursed by late 2022

USD 45.6 million

cancelled

16.8%

IBRD share of planned cost (14.2% after adjustment)

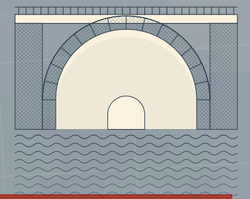


- **Funds idle:** World Bank money available while counterpart funding arrived late
- **Limited IBRD weight:** fully financed Component 2; IDA financed sanitation [33, Annex 2, Table 2.1; 43]
- **Scope cut:** Nha Trang scaled back; an 18-month extension needed

Results so far

- **No ICR yet:** figures as of 31 October 2022, plus Inspection Panel milestones for 2023–2025
- **Indicators:** beneficiaries 64%, sewer access 38%, cost recovery 98% of target [33; 43]
- **Works:** Dong Hoi and Quy Nhon largely complete; Nha Trang and Phan Rang incomplete
- **Disbursement:** 57.43% in August 2023 [57, paras. 6, 55]; base may differ from 36%

Climate resilience and institutions



PAD targets [33]

- **Flood risk:** reduced for approximately 44,000 people
- **Works:** 17 km of embankments, 22 km of roads and 5 bridges

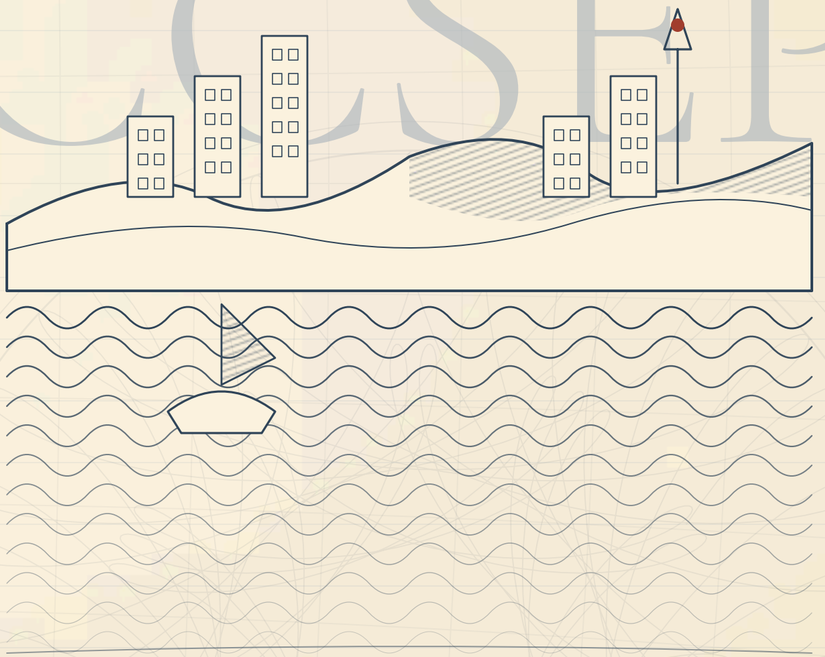
Latest published figures

- **Completed:** 4.38 km of roads and 3 bridges
- **Not yet public:** embankments and people with reduced flood risk
- **Institutions:** PSMUs, asset handovers, connection policies, tariff roadmaps [43]

The 38% coverage rate shows benefits are fully realized only when networks and household connections are completed.

Nha Trang: the single largest bottleneck

- **Plans:** only 160 of 585 approved; two packages cancelled
  [57, executive summary, paras. 10, 29]
- **Affected:** about 464 households, per the Management Response
  [57, executive summary]
- **Land:** about 5 ha not acquired; 6 ha acquired in 2018; 2.5 ha in 2021
  [57, paras. 11, 63]
- **Management:** "technical reasons"; PDO achievement not affected
  [57, paras. 49, 59]



From bottleneck to formal complaint

June 2023

19 of 222 plans non-compliant, referred to the PMU; eighteen on low land prices [57, paras. 37, 40, 41]

27 August 2023

31 Ngoc Hiep residents file a request; allegations, not conclusions [57, paras. 13, 17, 19, 23]

Late August 2023

Compensation plan for the 5 ha area revoked [57, paras. 37, 40, 41]

5 February 2024

Board of Executive Directors approves the investigation [58]

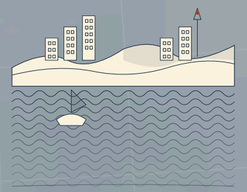
2 March 2025

Confidential memorandum signed [58]

7 August 2025

Dispute resolution ends without agreement; case back to the Panel [58]

Three direct causes



“Resettlement was thus a precondition for the drainage infrastructure to operate, not an auxiliary component …”

Land prices

Disagreements over prices and compensation led one-third of approved plans to be rejected

Restrictions since 2016

Land-use restrictions without completed acquisition prolonged residents' waiting

Weak PMU capacity

Poor coordination with provincial authorities delayed compensation and contracts [43]

III

LESSONS

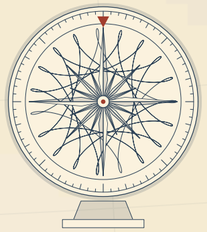
Achievements, limitations, recommendations

Sections 3.4.1 – 3.4.3

In this part

3.4.1 · 3.4.2 · 3.4.3

Achievements



Financial mobilization

TEP USD 500 million, 26-year maturity, 10-year grace [21]; CCSEP 29 years [33]; lower capital costs [37]

Technical standards

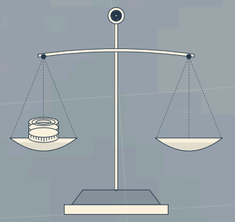
Smart grid in five 500-kV and ten 220-kV substations; 4,263 MW; O&M USD 0.87 → 0.67 per MWh [37]

Management standards

Procurement, finance and safeguard skills; NPT's asset management system; cost recovery 98% [43]

These changes in institutions are likely to last longer than any single project.

Limitations



Slow disbursement

TEP 63.7% of its commitment [41]; CCSEP nothing in 2017 and 2018, about 36% by late 2022 [43]

Procedural complexity

TEP smart-grid choice about four years [37]; CCSEP effective five and a half months late [33]

Counterpart funding

CCSEP allocations only from July 2019 [43]; TEP USD 5.50 of 5.74 million [41]; Binh Dinh debt ceiling [33]

Safeguards vs domestic rules

Nha Trang 160 of 585 plans, a complaint [43; 57]; TEP about 2,500 households [37]

LESSONS

Recommendations (1/2)

As an upper-middle-income economy since 2026, future World Bank borrowing will rely on IBRD terms [4].

- **1 · Prepare projects fully:** settle technology, approvals, land before signing [37]; use a Project Preparation Advance
- **2 · Secure counterpart funding:** in the medium-term investment plan at approval; check provincial debt capacity
- **3 · Align compensation early:** meet ESS5 from preparation; independent valuation, early consultation

LESSONS

Recommendations (2/2)

- **4 · Stabilize PMUs:** professional units managing several projects; Open Learning Campus training
- **5 · Streamline procedures:** Decree No. 242/2025/ND-CP steps scheduled to match the Bank cycle [53]
- **6 · Choose instruments strategically:** PforR or DPF for measurable reforms; RAS for advice [36]

Conclusion

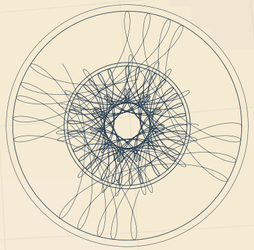
Findings, significance, limitations, directions for further research

In this part

Conclusion

Three pillars, one package

AAA-rated market funding, lent on long maturities through IPF, DPF and PforR.



Finance

Pays for the investment through the project cycle and its disbursement methods

Technical support

Improves project design, policy and monitoring

Training and capacity building

Strengthens the people and institutions that carry out projects

What the two cases show

TEP

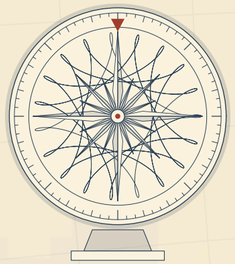
- **Results:** outputs above targets, operating costs fell, IEG rated it highly satisfactory
- **But:** a successful project may still disburse far less than its commitment

CCSEP

- **Constraints:** late counterpart funding, weak PMU capacity, resettlement disputes
- **Consequences:** results below targets, cancelled funds and a formal complaint

Across both cases, the binding constraints lay mainly on the domestic side rather than in the availability of IBRD money.

Conclusion of the paper



Significance and limitations

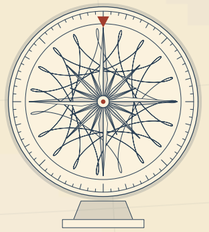
Significance

- **One framework:** organization, terms and support applied to two Vietnamese projects
- **Careful accounting:** planned vs actual; IBRD vs IDA and counterpart funds
- **Timely:** post-IDA borrowing and the 2026 reclassification

Limitations

- **Data:** secondary; no field surveys or interviews
- **Sources:** many prepared by the World Bank; IEG and Inspection Panel used where available
- **Scope:** no CCSEP completion report; two cases; system-wide indicators

Directions for further research



Update CCSEP

Once its completion report is published

Post-IDA projects

Binh Duong water environment project and the southern waterway program

Other lenders

Compare with the Asian Development Bank: do the same constraints apply?

Quantify delays

Cost of counterpart and land delays in commitment fees and lost time

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